

Block**3****BRAND MANAGEMENT**

UNIT 9**Brand Concepts and Evolution** **137**

UNIT 10**Brand Equity** **158**

UNIT 11**Brand Building Blocks: Identify, Image and
Positioning** **176**

UNIT 12**Brand Architecture and Brand Extension** **192**

BLOCK 3 BRAND MANAGEMENT

Similar to human beings, naming of products and service offerings is core to product policy decisions. Branding make's an excellent tool for customer pull and aid in effective promotion of the product which forms the essence of this block.

The rationale for branding a product the concept and relevance of branding and the framework associated with brand name selection is the core of the first unit.

The second unit discusses the brand equity its components and the contribution to competitive advantage. Besides the various approaches of brand equity are explained and eventually the steps involved in developing strong brands.

In the third unit despite of catchy and impressive brand names of products, a product may not appeal to the target groups unless they are rightly positioned. Therefore it is essential for marketers to be thoughtful, foresighted and professional in their approach and should resort to successful positioning strategies for product acceptance and adoption.

The last unit of this block introduces to you the brand architecture and strategy creation. In addition it also focuses on the concept of brand extensions its need and the various types of brand extensions.

UNIT 9 BRANDING CONCEPTS AND EVOLUTION

Objectives

After reading this unit you should be able to:

- provide the rationale for branding
- explain the concept and relevance of branding
- define the importance of brand name as a marketing asset
- evolve a framework for brand name selection
- apply inputs on how to build a brand comment on brand image and its dimensions
- describe the emerging trends in branding of commodities

Structure

- 9.1 Introduction
- 9.2 Branding
- 9.3 Strategic Relevance of Branding
- 9.4 Branding Policy Decisions
- 9.5 Brand Name
- 9.6 Brand Name Selection Process
- 9.7 How to Build a Brand?
- 9.8 Brand Image
- 9.9 Branding of Commodities
- 9.10 Summary
- 9.11 Self-Assessment Questions
- 9.12 Further Readings

9.1 INTRODUCTION

This unit will introduce to the term “Branding and familiarize you with the basic concepts related to branding”, its relevance both to the firm and external environment including marketing stakeholders like consumers, channel members and communication partners as well as the various branding decisions that a firm needs to take. The unit will further help you understand what brands are, all about followed by brand name selection process. Subsequently, an attempt has been made to share how brands are built. Brand image, another important dimension of branding has also been discussed. Eventually, branding of commodities is the fast emerging trend and its challenges are dealt with.

9.2 BRANDING

Before we really start talking on this subject pause for a moment, to recall the process that your mind went through before you chose to become a

student of this university vis-a-vis other institutions which offer distance learning programmes. Obviously the first thing that must have struck you is the NAME of the programme, thereafter the NAME of the university - followed by the image that you associated with each of them. Obviously the image would have been influenced by what you would have seen and heard about these NAMES. Well, the process of any image creation in the mind starts with the NAME and comes back and gets attached with reference to the Name in your mind. Well, the process and success of an image creation task is what positioning is all about. What are we hinting at? That the communication, identification, differentiation, distinction and positioning all start getting identified with the name.

There was a time in USSR, when all the products being produced by different units did not carry name identification. Consumers were expected to pick up a product- (produced from any unit) and be happy about it.

Soon experience taught the consumers that the same product purchased at different points of time, differed in their quality. Sometimes these differences were so sharp, that consumers decided to go without a product rather than bear with a substandard product. This suppressed demand and the economists were forced to recommend the system of '**Production Marks**'. Each product, from a different production unit with a different mark-so that consumers could identify, distinguish one from the other. What were 'production marks' in true sense? They were 'brand names'.

In simple terms a brand is a name, term, design, symbol or any other feature that distinguishes one seller's good or service from those of other sellers. A good brand name can cut down your advertising cost and a non-altrantive brand name can force you to add more money to your advertising for the same impact, assuming that all other variables are maintained at same levels in both situations.

However, the **Repurchase Value** of a name is an imperative quality, which every name has to contain. We cannot afford at any cost to ignore this factor. We cannot get away with raising an expectation in the mind of a prospect or a consumer, which the product cannot live up to. There can be cases, when the expectations raised by a brand name are not intended to be satisfied or met through the physical qualities of the product. The marketer probably intends to satisfy these through skillful use of advertising. If that be the case, we need to take this into account, while naming the brand.

What is Branding?

Branding is

- ✓ A process
- ✓ a tool
- ✓ A strategy
- ✓ an orientation

Branding as an ongoing process helps establish and build a long term symbiotic association between the marketers and the consumer in response to the changing needs and wants by way of product offerings for mutually beneficial arrangement.

Branding is also viewed as an excellent and reliable promotional tool for creating mass awareness, for projecting and positioning a product in the minds of target consumers the authentic product attributes and the satisfaction they would derive by adoption. Despite the availability of equally satisfying products in the market place the satisfied customer with a specific brand would not want nor make an attempt to spend additional effort to evaluate the other alternative choices in the category.

As already mentioned, branding helps in easy identification thus differentiates and stands out apart from other competitive products in the category and there by developing a close affinity and linkage with target customer group. This way Branding comes handy to the marketer as a weapon for clear distinction of his product more so when the product nature is such that it would be difficult to distinguish in terms of visible features as in case of services and other products like cement, fertilizer etc. which are generally perceived as commodities. This way branding is used strategically for strategy formulation for the target groups in response to their changing taste and preferences by way of developing and offering customized products backed with effective communication and supported by visuals to match and keep pace with the customer life styles and expectations.

Brand creation and brand building by the marketer's should be a well defined and conscious task keeping the consumer on the top of the mind: Branding always facilitates easy and quick decision making in purchase process. Branding also attracts customer pull and helps retain customers to its fold over their rivals offerings for quality and personal satisfaction and develop loyalties for the same. From the marketers angle strong brands does help in building strong foundation/premise for the promotion of additional products.

By now you would definitely agree that branding is much more than just giving a brand name and signaling the rest of the world that such a product/service has been stamped with the mark and imprint of an organization.

Table 9.1 below gives an overview of brand functions and consumer benefit

Table 9.1

Table 8.1 The functions of the brand for the consumer

Function	Consumer benefit
Identification	To be clearly seen, to make sense of the offer, to quickly identify the sought-after products.
Practicality	To allow savings of time and energy through identical repurchasing and loyalty.
Guarantee	To be sure of finding the same quality no matter where or when you buy the product or service.
Optimisation	To be sure of buying the best product in its category, the best performer for a particular purpose.
Characterisation	To have confirmation of your self-image or the image that you present to others.
Continuity	Satisfaction brought about through familiarity and intimacy with the brand that you have been consuming for years.
Hedonistic	Satisfaction linked to the attractiveness of the brand, to its logo, to its communication.
Ethical	Satisfaction linked to the responsible behaviour of the brand in its relationship with society (ecology, employment, citizenship, advertising which doesn't shock).

Activity 1

List any three brands across product categories that your family has been using for the last five years. Explain how using these brands consistently have.

Simplified your buying decision process in that product category

Affected your overall perception about other products from the same company

Made you non receptive to promotional messages from competing brands

How would you explain your buying behavior on the basis of what you have studied in this unit?

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9.3 STRATEGIC RELEVANCE OF BRANDING

Brands are powerful entities because they blend functional, rationally assessed performance-based values with emotional values

In a more complete definition, Leslie Chematony (2010) defines a brand as “a cluster of functional and emotional values that enables a promise to be made about a unique and welcomed experience. A Brand is much more than the name, logo or the creation of an image that the producer service has received an organizational imprint.

Every year Inter brand publishes a list of the most valuable brands about which you will read more in Unit 10 on Brand Equity. A research study was conducted by Madden Delhi and Fournier over a four year period and 111 companies on the Interbrand’s awarded list, to investigate whether successful brand management yields higher shareholder value. The study concluded that strong brands resulted in much higher returns to shareholders. From the viewpoint of strategic relevance of branding and brand management this fact strongly underlines the strategic importance of brands as an asset. As a brand is a combination of both functional and emotional values you will find that in a lot of cases, the initial connect with the consumer is developed on the strength of the functional value- (e.g., the whitest white- Tide, fast to cook, good to eat-Maggie). Marketers are however very conscious of the fact that their competitors can quickly decipher the functional advantage and either replicate it or improve upon it. They therefore invest significantly in creating an emotional connect with the consumers which is not easy to replicate and results in the sustained power for the brand.

Brands furnish one of the strongest bases of competitive advantage through clear differentiation, positioning and powerful brand associations. Brands to be managed well over time require sustained and strategic investment

of research supported investment and managerial attention to convert their power into a long term sustainable competitive superiority. Companies are able to build favorable reputations through successful brands over time and over geographic boundaries, which serve to enhance the confidence and trust of employees, consumers, dealers and indeed, the investors.

To the consumer's brands are well regarded entities because they enable the fulfillment of a value expressive function for them. Consumers buy certain brands because they allow the consumers to express their own consumption values that are in consonance with the brand values, enabling consumers to have the quality of life they wish to achieve.

To the manufacturers brands represent a way of translating the differential consumer needs into different satisfiers in the same product category such that you may be able to satisfy all complexions of that need. Unilever for example offers a Lifebuoy to the cost conscious health oriented consumer while Lux to the beauty and skin care consumer with inspirational dreams, thereby allowing marketers opportunities for segmentation as well as market coverage.

Activity 2

Select Top Indian brands in the category of

- dishwashing liquids/gels
- hair care products
- motorbikes
- banks

In each case analyze the strategic role played by the brand identified by you in the growth and consumer engagement for the company.

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9.4 BRANDING POLICY DECISIONS

In considering and making branding decisions, the firm has to consider factors like, target consumer, target markets, their cultural influences on the market, and the impact of brand on business strategy for example a product which is culturally alien will find difficulty in getting accepted in the market like in case of 'Ms' brand of cigarettes targeted at Indian women which failed in the market place. Besides, the firm has to consider the values, attitudes and cultural aspects of target consumers.

The brand decisions a firm has to take are-

- manufacturers name i.e. whether to have its own name on all products, or
- marketing organization/distributors brand name, or
- adopt a mix of the two

The firm should also take decisions relating to the following:

- a) Family brand name-extending family name to new products like Onida did to other products like washing machines, music systems etc.
- b) Individual Brand name-a practice which most of the consumer product firms like P&G adopted for its toiletry and other personal care products.

Let us now look into each of these brand policy options available for the firm.

Manufacturer Brand Policy

As the name suggest that this policy is based on the. assumption that the manufacturer has built a reputation in the market, with a strong and wide distribution network and a sound financial resources to establish a new product in the market. Customer faith and confidence in the firm is the-prime factor in the manufacturer deciding to brand the product in his own name. When the manufacturer markets such product in his own name nationally, this is called the national brand policy. Classic examples are all leading national brands of Indian corporate in diverse product categories. For Example: Hero Motors, Maruti, Raymond, Tata and Reliance etc. Under this Brand Policy there are two options.

Family Branding

Most of us use different brands for personal consumption and are loyal towards some of these brands for reasons best known to each of us. Thus when the name brings in positive associations in the minds of consumers with respect to quality reliability and assurance of standards in all their product offerings, family branding works effectively.

Family brand names are generally recommended in view of high cost associated in creating a new brand and also where recognition of the corporate name along with positive association is high. Products can be managed quickly and at low cost under an established brand, because they can take advantage of the existing trust and knowledge of consumers. Brand building efforts and marketing costs are therefore lower than with a single brand strategy. The major disadvantage of family branding is that the failure of a new proud introduction may impact the existing family brand and create some dissonance among existing customers. Family branding is also known as umbrella branding for instance Dove is the mother brand name used for soap, shampoos, conditioners, Face wash, deodorants and so on.

In order to safeguard the existing brand reputation from the repercussions of not so successful product introductions, the policy of individual branding is used by many large corporations.

Individual Branding Policy

You also come across some firms choosing distinct names for each of their offerings Unilever, Proctor and Gamble and Dabur are some major examples who have been following this option of giving different names to each of their products. The advantages of Individual brand name lies in strong market penetration of the product across various well-defined segments. The company can try different marketing approaches without impacting

the parent brand. Different positioning options become available to the company for accessing the market with each new brand being introduced. Sometimes they may have multiple brands of a product which compete with each other. The chief disadvantage lies in the fact that developmental costs and corporate effort required developing a new brand every time a new product is being conceptualized and introduced, will be high.

Distributors Brand Policy

This is an alternative to manufacturer brand policy, which comes handy and are relevant in the absence of firms, strength in marketing and adequate financial resources to build a strong brand and the competition in the industry is high. As a result of the latter, the retail shelf space is at premium. The distributor or the marketing organisation has strengths in the market, customers have confidence in it and hence his bargaining power with the manufacturer is high. In such a situation it may be advisable to market the product under the distributor brand name.

Groceries and common household goods and commodities where the distributor's power over consumer's choice is high, show prevalence to the use of distributor brands. Online grocers like Grofers which is now rebranded as Blinkit) and Big Basket in India, show a lot of spices, pulses, dishwashing liquids etc under their own brand and often at a lower cost than competing manufacturer's brands. As some of these are low involvement products e.g. Dishwashing liquid, consumers tend to opt for the price advantage and patronize the distributor's brand.

The risk associated with this strategy is:

- (i) loss of control over the product marketing;
- (ii) if the product succeeds, premium may go to the distributor and not to the manufacturer; and
- (iii) distributor may not extend the desired marketing support to the brand.

Mixed Brand Policy

An alternative to the above two options is for the firm to enter into a strategic alliance with a well known Marketing firm and allow it to market the product under its name in a well defined geographic area. The manufacturer also confirms to market the product under his own name nationally.

9.5 BRAND NAME

If you carefully observe that every product in the market place is identifiable by a specific name given by its maker called the brand name. Thus identifying and selecting an appropriate brand name is the first and most crucial step in managing a brand. The decision of branding a new product is like naming a new-born child. It basically serves to easy identification of the firm's offering. You must have come across that a brand could be a word, term-sign or symbol that identifies and distinguishes one product from another for example, it could be:

- ✓ a word with meaning not necessarily related to the product it represents viz., Amrutanjana, Orterm, Cherry Blossom, Sprite, Graviera Suiting's etc.

- ✓ the name of the manufacturers of the product viz., Bata, HMT, Titan
- ✓ a combination of numerical and alphabets, viz. Elle-18, CBZ-150
- ✓ a word whose meaning suggests some functions, or quality of the product for example brand names like Surya (lighting) Sleep well (mattresses) Head and Shoulders (shampoo) Clean and Clear (Face wash) Fair and Lovely (fairness cream) D-cold (Medicine for cold & cough) etc. indirectly indicate the use of the product.

A brand name may impact the buyer's perception about the product. Brand names are often conceived and used in establishing an overall product concept. Occasionally, strong brand name becomes the generic name of the product for instance brands like Surf, Dalda and Tempo used to be synonymous with detergents vegetable oil and mini trucks respectively while Xerox, a specific brand became synonymous with the photocopying usage itself.

A good brand name has a mnemonic quality, something that stays in the buyers mind and he derives some recognition and status from using certain brands. You have only to look at iconic brand names like Apple, Kodak and Jaguar to bring home this point. Branding always plays a major role in communication. Apart from identifying the marketer producer of the product branding assures the buyer of some consistency and quality standards leading creating of brand confidence and repeat purchases. It is essential and also mandatory for the marketer/ producer to register brand names under the Indian Trade and merchandise act for protection and to prevent imitation.

9.6 BRAND NAME SELECTION PROCESS

We will now attempt to share with you a realistic and operational basis for the art of brand naming. Presented below is an approach for the formulation of a name for a product and the selection of the most suitable from amongst the various alternatives at hand. You have seen that a brand name should be checked for certain qualities. The task of systemizing the choice of a brand name calls for more than a knowledge of these qualities. What is required is to develop a systematic base for useful and realistic evaluation of different suggestions for adaptation. For a rational decision in this regard a mathematical approach has limited application. Therefore, an audit cum 'mathematical' approach, is suggested below the major steps in this process are presented here.

Step 1-Preparing checkpoints for the different values to be contained in the name

The company should first layout the objective it wants to fulfill through the name that is trying to design. For this purpose lists of checkpoints may be prepared using the Jackson Martindell's method. It may be broadly classified on the basis of certain recognized values.

Associational Value: (a) Pick upon the qualities of the product, the association of the name to which, are likely to establish the brand; (b) List the satisfactions that the consumer seeks to achieve through the product. Caution: the product is meant to serve a target audience of potential

consumer; thus only that satisfaction should be listed which are desired by the chosen target audience. The satisfactions should be listed in order of priorities; (c) Now prepare a combined list of the desirable qualities and satisfactions and list them in order of priorities, for example:

<i>Qualities and satisfactions to which associations of name is to be sought</i>	<i>Impact in terms of profit and/or market share (% of potential consumers desiring an attribute)</i>
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Attribute A :

Attribute B :

Attribute C :

Attribute D :

Attribute E :

It should be remembered that consumers with a preference for, say, attribute A can overlap with the consumers desiring attribute B. This means that the combined market share of attribute A and attribute B will not be the cumulative of the market shares of both but something less. The attributes should be listed in a descending manner so that as one goes down the list, the cumulative market share of the attributes increases. Also, the overlapping of the set of consumers of attribute A with that of attribute B should be less than that of the set of consumers of attribute C with that of attribute B or A.

Memorization value: List the words to which the name can be made to resemble in rhyme, meaning etc. and which are in Common use by the target audience of potential consumers.

Descriptive Value: Follow the same procedure as laid down under the heading associational value. List the product qualities that need to be described according to consumer preferences. Also, include those qualities which are preferred by the target audience and are present in the product but are missing in competitive products. Prepare a list of check points on the following design:

<i>Descriptions</i>	<i>Impact on the profit and/or market share (% of potential consumers desiring an attribute)</i>
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Attribute A :

Attribute B :

Motivational Value: Follow the same procedure as above and list the product qualities that would motivate the consumers to make the purchase. Against each product quality indicate the proportion of potential consumers that are motivated by it. Also, list the factors which, if developed in the product, would motivate purchase.

<i>Purchase motivators</i>	<i>Impact on the profit and/or market share (% of potential consumers desiring an attribute)</i>
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Quality X:

Quality Y:

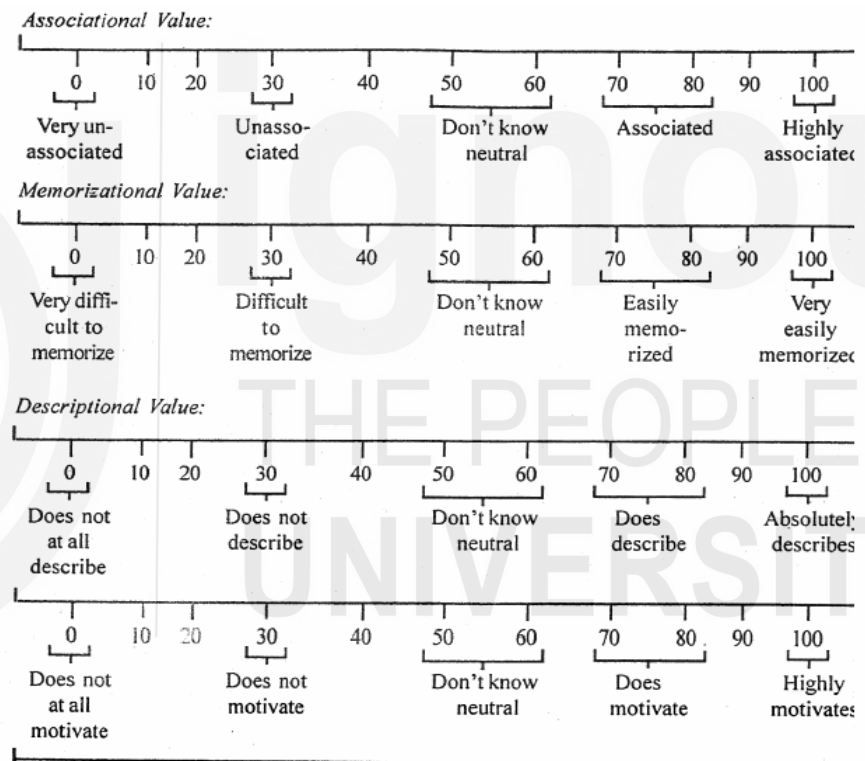
Repurchase value: If the name is checked against the checkpoints prepared for associational value, memorizational value, descriptive value and motivation value it will by itself contain the required repurchase value. Hence no separate list of checkpoints is required. For the same reason the foregoing procedure will take into account only the first four values.

Step11-Attempting a search for names

The next step is to search for possible names that can be given to the product. Such names are listed that fulfill the objectives laid down in Step I, i.e. they contain the required values: A great deal of creative imagination is required for this job. Attempt has to be made to ensure that such emphasis is on the required qualities. At this stage, primary emphasis is on the required values the name has to contain; the objective evaluation comes later.

Step111-Assigning differential ratings to the names formulated

A proforma of the rating scales for all the four values can now be drawn.



Now a representative sample of the potential consumers is picked up and is given a series of tests.

Associational value tests: The names formulated in Step II are haphazardly arranged and listed on one side and the qualities or attributes laid down in the list of check points for associational value in Step I along with other product attributes are listed in a random manner on the other side. The participants are then asked to associate names with attributes.

In this manner the extent of relationship of a name with the attributes of the associational value can be determined. Ratings are then allotted to these names on the associational value scale. The judgment is based on the comparison of the results of the associational test, with the list of checkpoints prepared in Step I under the head associational value. If the test indicates

that a name has been exactly associated with the attributes of checkpoints, it would represent the highest degree of association the name has with these attributes. This particular name would then be allotted a rating in between 80 and 100. It should be noted that the rating, allotted to different names have to be relative in nature.

Memorizational value tests: Brand names listed in Step II after being properly shuffled with such similar names and related names (shuffling is done to reduce the error that might creep in because of the association of the names with each other) are listed and then given to the participants for a specific time. They are asked to read them over, again and again, say 5 to 10 times. Then another list of names containing the names for the product in the first list shuffled along with other similar names i.e., similar in spelling and rhyme etc. is given to the participants. They are then asked to locate the names of the first list. In this way the names can be allotted rating on the memorizational value scale.

Descriptive value tests: The list of names is given to the participants. Each participant is then asked to list under each name a few attributes that she/he thinks the product with that name may contain. The attributes listed by the participants are then checked against the check points prepared under the heading Descriptive Value in Step 1. Ratings are then allotted to the different names on the descriptive value scale in a similar manner as they are done for associational values.

Motivational value tests: Names formulated in Step 1 are listed on one side after shuffling them with a few other names that are not being considered. Purchase motivators that are listed under checkpoints prepared under the heading motivational value in Step 1, are shuffled up with non-motivators and listed on the other side. The participants are then asked to associate the names with the purchase motivators. There being no restriction on the number of purchase motivators that may be linked with a name and the number of times a purchase motivators that may be linked with a name and the number of times a purchase motivator may be used. After having done this on the basis of the results obtained and with the help of checkpoints for motivational value, ratings can be allotted to the names on the motivational value scale.

Step IV - Quadrivalent analysis for separating undesirable names from desirable ones and measuring the marketing potency of the different names

The marketing potency of a name in its most ideal sense depends on all the four values that have been discussed above. However, in practice you may need to rely on a few of the above qualities. It is also possible that you just can't find a name which can strongly reflect these qualities. If that be the case, you will have to contend -with a hard choice-giving up something for something better. If you are compelled to do this, look at your total marketing programme and find a solution to what you have lost in some other element of the mix at your command. We can express the marketing potency by a simple mathematical expression as under:

$$MP = (An) (Mm) (Dp) (Mt)$$

MP- marketing potency of a name, An-Associational value, Mm-Memorization value. Dp-Descriptive value, Mt-Motivational value.

The marketing potency of a name or the extent to which the name helps in capturing the market is assumed to be a function of multiplicative relationship among the four variable multiplicative because theoretically reduction of any of the four variables to zero would sharply bring down the marketing potency of the name. In these general formulae, you will also notice that we have assigned equal weights to all the four values.

In practice, the scenario may be totally different. You may not be intending to describe the product at all through your name in view of the marketing strategy you have in mind. What do you do in this kind of a situation, how would you deal with the mathematical expression stated above? You will need to do some transformation of the expression or assign some arbitrary value to the descriptive value. We suggest that you assign this descriptive value a value equivalent to unity. Again it is quite possible that the associational value of the product is two times more important than the descriptive value of the product. Again you would need to transform your expression. You will need to assign weights and we suggest that you assign a weight of two units to associational value in relation to descriptive value. At the time of determining the marketing potency the ratings for this value will have to be divided by two to give it the desired weightage.

The graphic representation shown in Fig 9.1 consists of 3 axis all perpendicular to each other, two lying in the horizontal scale and one in the vertical scale. The two variables associational value and memorizational are represented on the horizontal axis and descriptive value is represented on the vertical axis. After ratings for a name have been plotted on the associational and memorizational value axis (scales) its rating on the descriptive value axis helps in assigning the name a position in the space. The rating for the motivational value of the name is indicated in parenthesis. Positions are located for all the names on this three dimensional graph.

Three planes are then made to divide this three dimensional brick resulting into 8 quadrants. A horizontal plane is drawn so that half the names lie above the plane and half below the plane. A 2nd plane, which is vertical and parallel to the associational value axis, is drawn so that half names lie on one side of the plane and half on the other side. A 3rd plane, vertical but parallel to the memorizational value axis is drawn in a similar fashion. This process gives rise to 8 quadrants. The upper right hand quadrant farthest from the memorization value axis (Quadrant 1) will have those names which are more desirable than those in other quadrants. Figure 1 shows that brand names A & B 1 in quadrant I and hence they are more desirable than those in other quadrants.

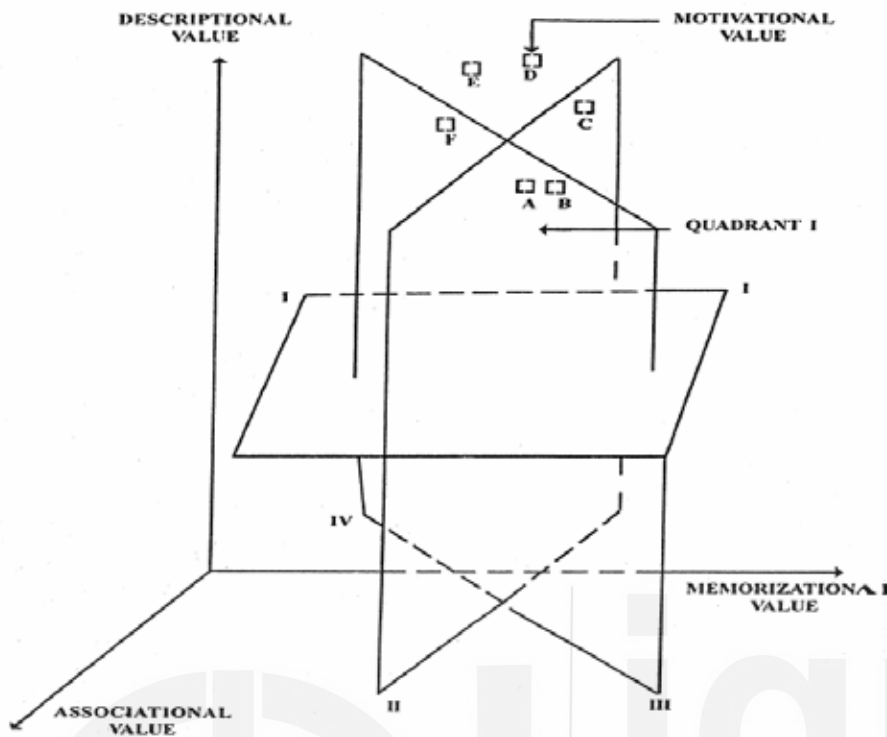


Fig.9.1 The three dimensional graphic representation shows the extent of different value each name. It also depicts the elimination of undesirable names from the desirable ones by inserting three axis at right angles to each other in the graphic representation. The three planes divide the 3 dimension brick into eight quadrants; quadrant 1 has the desirable brand names-brand names A&B.

The 4th rating on the motivational value scale should be indicated in parenthesis. This is indicated in parenthesis because if the name has the other three desired values it would contain some motivational value too; however, this is not true of the other values. Names falling in the upper right hand quadrant farthest from the memorizational value axis can be compared with each other; their ratings for motivational value too can be compared.

If there are a large number of names lying in quadrant 1, further elimination of undesirable names can be done. Divide quadrant one into still small quadrants. This is done by using the same, procedure. This means that quadrant I is divided by 3 planes to give rise to 8 mini quadrants. The inception of planes to bring about division of quadrant I is done in a similar manner as that followed for dividing the whole graph. This would give rise to another quadrants F which would contain a still smaller number of names. Thus it would be easy to make choice from among these names.

Controlled experimentation can also help in determining the marketing potency of the few names that emerge from the above method (say 2 to 3 names) from which the final choice has to be made. Redetermination of the marketing potency can be done not only by taking into consideration the results of this controlled experimentation but also by subjecting them to the tests designed in Step II and checking them up with the help of checkpoints in Step 1.

Step V-The final choice

We can afford to go a step further. The 2 or 3 names that we have are listed on separate cards. On each card the total market share generated by each of the four values is determined. We shall take as example the associational value. Check the name against the checkpoints listed under associational value in Step I. List those attributes to which the name has been associated by the sample of potential consumers at the time they were given association tests in Step III.

Attributes to which : A & B
name was associated

Now look into the number of potential consumers who associated the name to attribute A. Find the ratio of the number of these potential consumers to the whole sample. This ratio gives the market share that is being generated by this attribute. Similarly, determine the market share generated by attribute B. Find out the number of potential consumers who have associated the name both to attributes A & B. Next step is to determine the following ratio:

No. of potential consumers who
associated the name to both the
attributes A&B.

No. of potential consumers who
associated the name to attribute A.

Proportion of consumers
for attribute A associating the
name to attribute B

Similarly determine the proportion of consumers for attribute B associating the name to attribute A. With the help of market shares for the two attributes and the above ratios, a Venn diagram can be constructed. The total market is represented by the universal set, on it are drawn the market share generated by attribute A (set of consumers who associate the name to attribute A) and the market share generated by attribute B. The intersection of two subsets A & B is shown. The union of the two subsets A & B shall represent the actual associational value of the name (Figure 2). Next, determine the market shares generated for each of the four values. Not construct a Venn diagram for each name in which the universal

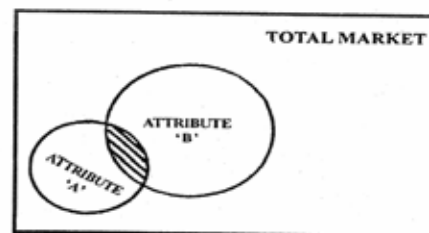


Fig. 2

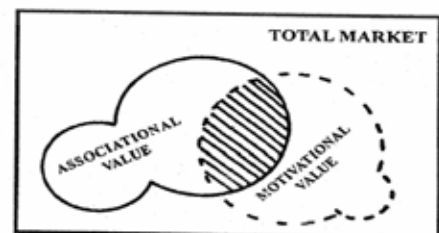


Fig. 3

Set is represented by the total market of the product. On this universal set is shown the union of the set of consumers, for associational value, memorizational value, descriptive value and motivational value. The interlaps among these sets is determined by the same type of procedure as outlined for determining the intersection for market shares of different attributes for their associational value in (Fig. I). Figure 3 shows such type of a Venn diagram.

A comparison of the Venn diagram constructed for the different names will help in picking on the right name-this falls in line with your marketing

strategy. This depends on two things (I) the total area covered by the union of the four sets viz., set of consumers for associational value, memorizational value etc. (II) the interlaps or the intersections of these sets.

Today, a few marketing research specialists have developed a variety of mathematical techniques to help in brand name selection. This should not baffle you, because the logic does not change. These mathematical techniques are only tools to help marketers give expression to their logic and to assist them in applying their logic in more precise terms. Logic obviously remains supreme and reigns.

The various steps and tests involved in “brand name selection process” as described above needs an exercise on the pattern discussed. Thus, a proper brand name chosen for the product, keeping consumers’ point of view in forefront would make marketing effort easy and rewarding as it introduces the element of rationality in an otherwise wholly subjective decision.

Activity 3

Assume that you are developing

- a) A new breakfast snack
- b) A new electric car
- c) A new Wi-Fi service provider

How would you find an appropriate brand name for your product using the model described above?

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9.7 HOW TO BUILD A BRAND?

Brands do not become established or leading brands over night. Brand building should be a conscious effort well planned and systematically executed. Thus, brand building is similar to building concrete structures. If you observe, all concrete structures are built systematically brick by brick over a specified period of time and later maintained on a continuous basis. Similar analogy applies to brand building i.e. the marketer should develop, innovate, nurture and make consistent value addition in relation to changing needs and aspirations of the ultimate customers. This explains that brand building is an ongoing process (Exhibit-1). The model may be used to illustrate the salient steps of various inputs outcomes, and assessment.

Inputs

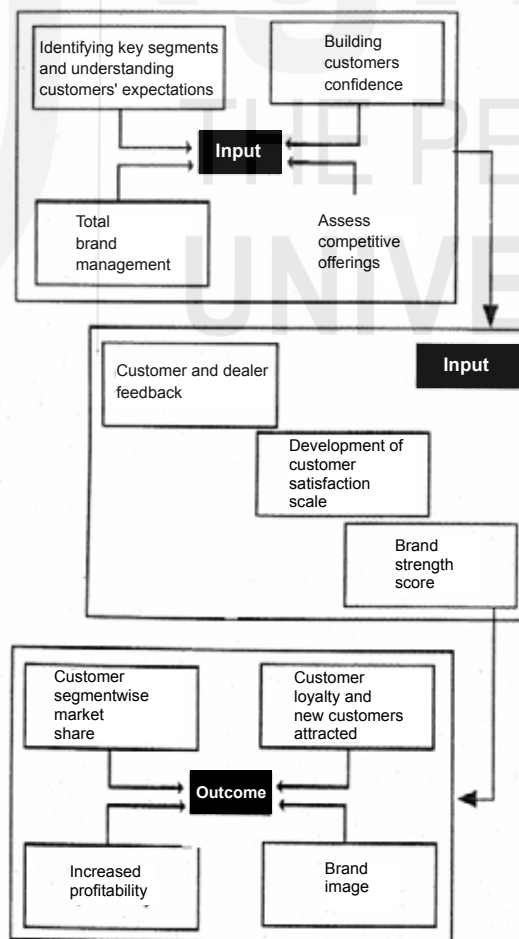
- Identification of key customer groups or segments.
- Understanding customer expectations needs and aspirations.
- Assessing competitive offering including substitutes.

Brand Management

- Building customer confidence by
 - customizing the product.
 - establishing key image of the brand.
 - dealer support-easy availability and push.
 - in case of online delivery, ensuring easy search, access and payments options along with timely delivery
 - innovative communication including effective use of social media and promotion schemes, supported by elegant packaging
 - ensuring consumer engagement through emotional and functional value association
- Total brand management-both hardware and software aspects.

Output

- Market share
- Customer retention
- New customers attracted
- Customer loyalty
- Increased profitability
- Brand knowledge



Note : Adapted from David A. Aahey's, Managing Brand equity, the Free Press, New York: 1991.

- Continuous feedback from customers as well as trade channels
- Continuous monitoring of consumer comments, reviews and feedback on social media and mining that data for actionable information for marketing decisions
- Scientific inquiry into customer satisfaction determining
 - who is the customer and profile of the targets segment,
 - what constitutes customer satisfaction, designing the scale to measure customer satisfaction,
 - measuring current levels of customer satisfaction, and
 - trend analysis and pointers for management of customer satisfaction.
- Brand strength score.

9.8 BRAND IMAGE

Brand image is the perception of the brand in the mind of the customer. It is an aggregate of beliefs, ideas, and impressions that a customer holds regarding the brand.

As pointed out by Kptler; An image is the set of beliefs, ideas, and impression that a person holds regarding an object

The term 'brand image' reflects and signifies the distinction, reputation and the goodwill as perceived by a consumer. Generally consumers are unable to distinguish the differences among various brands when their labels are removed. But when the brand names are mentioned, they show clear preferences. As you have studied in your Course on Marketing Management and in your Course on Consumer Behavior, consumers seek congruence between their self image and brand image and use brand images as a form of making a self expression.

Generally speaking, brand image has a more significant role in product situations where the choice is made more on the basis of subjective criteria. or where the brand has a prestige image and where the consumption is publicly visible for example buying a Jaguar or a SUV or a Bullet motorbike for the image that one seeks to portray through ones consumption reputation peer.

Dimensions of Brand Image

Each brand has a unique blend of identity, symbolic meaning and functional evaluation in the eyes of its consumers. Broadly speaking, the totality of any brand's image is made up of three types of appeals.

Appeal to reason: Very often you find yourself, self-questioning when you decide upon buying a certain brand for instance, if you have plans to buy a smart TV then you ask for yourself how the brand would perform, how it is different from other brands, what benefits and special functions does it offer etc. Thus the first dimension focuses more on performance factor based on features and their evaluation.

Appeal to senses: Continuing the example of buying a Smart TV the assessment and evaluation now shifts your attention towards the sensory gratification/appeals of the brand: you would be more bothered about how the audio/sound performs feature like tonal control, the picture quality and visual quality, surround sound, colors and hues control options, and the appearance, for example the Frame model series from Samsung, and other aesthetic features etc.

Appeal to emotion: In addition as a buyer you would also consider social considerations for if you plan to buy a specific Smart TV brand keeping in mind how your friends, relatives and neighbor etc. would look upon the choice and how you yourself would feel owning the brand.. Thus emotion is another dimension for brand image. As a result you would consider the brands style, the mood it evokes and the psychological rewards it offers. All this factors are intangible in nature yet they have a strong impact and impression on the consumer.

In addition, research has also revealed the contribution of the Reference appeal which is the consumer's assessment of how his relevant to others, i.e. family, friends, relatives and colleagues view a given brand. The social prestige of a brand has an impact on the buyers own assessment of the brand image.

All the appeals discussed above collectively produce the brand image. The core of the brand image is created together by the product features and integrated marketing communication, including the inroads into the consumer's chosen social media...

Activity4

As consumer, you would be using say

A brand of Coffee

A brand of toilet soap/shampoo

An automobile brand

For the brands used in each case, state the kind of brand image you hold for the brand and analyze how the components of the various appeals discussed here have contributed to the images held by you.

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9.9 BRANDING OF COMMODITIES

If you make an attempt to look back majority of Indian commodities were sold in unbranded form earlier... Today, the scenario is reversed. The trend was set in early nineties when food grains and spices started getting

branded and offered to the market. As the results were encouraging, this was followed by vegetables, salt, sugar etc. Today, more marketers have jumped on to the bandwagon: for example, Tata salt, Dhampur Sugar, Himalayan Pink Salt, MP brand Wheat, Ialkila basmati rice and so on. The acceptance and demand for branded commodities is the result of changed lifestyles of people with disposable income specially working couples for whom quality and convenience are important factors. Therefore they would demand a certain standardization and assurance of quality in their commodity buying. Other examples in the industrial markets space are cement, commercial adhesives, paint thinners and even nails and screws to name a few.

Challenges in Branding Commodities

The commodity market is generally driven by price consideration, besides, consumers, by and large; view this as a low involvement buying situation. Under such conditions, to make them sensitive to price itself is a very difficult task. And, later to create a preference for a specific option calls for more sustained effort on the part of any marketer. Of course, the shift has already taken effect in a major way in the cities and big towns where consumers are able to appreciate the benefits of buying a branded commodity.

Branding a commodity is a marketing task at a very fundamental level. Unlike in a consumer goods market where the marketer can play around with consumer perception, brand differentiation etc., in a commodity market, branding is about going to the basics or exploring at the grass root level. To quote, David Aaker, "it involves overturning the rules of the market, establishing new selling propositions in the market which so far has been driven largely by price. And everything from positioning, pricing, brand value and packaging takes on a new sensitivity".

Brand building involves cost, apart from additional cost incurred in packaging, labeling, advertising, legal protection and a risk that if the brand should prove unsatisfactory to the user, the company's image would suffer and it may even affect market for other products of the company. Thus the challenges involved are formidable. Still many marketers prefer to brand it because of many unique advantages as stated below:

- The brand name makes it easier for the marketer to process orders and track own problems associated with the brand.
- The marketer's brand name and trademark provide legal protection (patent or copyrights) of the unique features, which would otherwise be copied by competitors.
- Branding gives the marketer the opportunity to attract loyal and profitable segment of customers. Loyalty created over time offers the unique advantage of having assured customer base against competition and greater control in their marketing programme.
- It is wrong to assume that any commodity market is a homogeneous mass. Instead, the task lies in skillfully identifying the different segments and understanding their specific needs, tastes and preferences. Branding helps marketer to form suitable segmentation of the market. Different brands can be aimed at different segments.

of customers and overall effective coverage of the market can be improved.

- In the long run it helps to build a strong association with the consumers as well as the trade. By highlighting the same name, and consistently managing quality level, long term consumer and trade confidence can be sustained.

Branding leads to commodity differentiation and hence enables tapping into consumer preference. This translates into greater choice and quality for the consumers. To the producers branding provides the opportunity to increase gross margins by increasing the value perception of their product.

Special consideration in Branding of a Commodity

As stated earlier, brand is a name, term, sign, symbol, design, or a combination of them, intended to identify the goods or services of one marketer. In particular, to differentiate an offering from those of the competitors. The major issues involved in the branding of any commodity are:

1. Offering sufficient value to the customer to induce change from a price sensitive commodity to a benefit driven branded option.
2. Role and degree of consumer involvement in buying decision.
3. Segmenting the market, selecting a target segment and positioning of the product to match with the target segment characteristics.
4. Communicating price-quality position offering sufficient turnover and long term growth.
5. Managing channel power the distribution dynamics on the basis of market pull of the brand.
6. Selecting suitable packaging.
7. channelising marketing investment for brand building.

Activity 5

Pick up any three successful branded commodities and also three unsuccessful commodities brands of your choice. Analyze and bring out the reasons for their success and failure accordingly.

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9.10 SUMMARY

This unit focuses on the concept and development branding and its various dimensions. The strategic relevance of building a brand is discussed and the major branding policy options shared. Brand name selection, one of the most important brand management decisions has been shared with the help of a framework for brand name selection

Brand image, what a customer believes and perceives about a brand and its dimensions has been discussed. Lastly, in view of the growing importance, branding of commodities has been discussed with focus on the challenges that a firm should consider while branding commodities.

9.11 SELF-ASSESSMENT QUESTIONS

- Q1. Which of the following correctly describes how brands work through association sets in customers' minds?
- a) Brands work through unique identifiers for the product.
 - b) Brands work through information stored in customers' memories about the product.
 - c) Brands work through identifiers stored in customers' mind alongside the memories of the product.
- Q2. Which of the following is true about brands?
- a) Brands allow organizations to increase their asset base.
 - b) Even strong brands need to be carefully managed over time
- Q3. Pick up the strongest brand in the following categories
- a) FMCG
 - b) Financial services
 - c) Consumer Electronics

Based on what you have just studied and on your own experience, identify the factors that have contributed to this market position for each brand identified by you

- Q 4 What kind of role does consumer play in building a brand. Substantiate your answer with illustrations.
- Q5. As a Brand Manager of a leading holiday resort firm with all India operations, what brand name you would suggest for honeymoon package conceived and targeted for newly married urban couples.

Interact with elderly folks/citizens in your location and enquire as how they used to buy products/commodities in the era of non-branding of most commodities. Try and compare the scene with the current scenario, list out the factors responsible for the shift from Non-Branding to Branding.

9.12 REFERENCES/ FURTHER READINGS

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UNIT 10 BRAND EQUITY

Objectives

After reading this unit you should be able to:

- explain the concept of brand equity and its contribution to competitive advantage
- describe the components of brand equity
- discuss and apply measures to assess brand equity
- explain customer based brand equity and discuss it from other approaches to brand equity
- discuss steps to building brand equity and developing strong brands.

Structure

- 10.1 Introduction
- 10.2 The Concept of Brand Equity
- 10.3 Measurements of Brand Equity
- 10.4 Composite Measure of Brand Equity
- 10.5 Customer Based Brand Equity
- 10.6 How Brand Equity is created?
- 10.7 Building Brand Equity
- 10.8 Summary
- 10.9 Self-Assessment Questions
- 10.10 References/Further Readings

10.1 INTRODUCTION

Branding has been central to marketing for more than a century. One of the important skills a marketing professional should possess is the ability to create, nurture, enhance and protect the brands for the company. American Marketing Association defines a brand as a name, term, sign, symbol, or design, or a combination of these, used to identify the product and services of a company. For the consumer brand may stand for several things, like product attributes, product benefits, values, culture, personality, and user.

Product attributes: Relates to product features may be physical, functional, or attributes. Tata passenger cars suggests spacious, Indian built, economy and other product features.

Product benefits: Consumers expectation from a product are mainly the benefit it offers. Dettol, the brand provides two kinds of benefits, one the functional benefit and the second, the emotional benefit. Dettol is related to a functional benefit-protection from infection. If I use Dettol soap I am safe from infection is an emotional benefit.

Values: The brand stands for the value of the producer, for example, the name Tata relates to reliable, professional, dependable manufacturer and supplier.

Culture: Brand also represents certain culture, Samurai or Suzuki represents Japanese culture.

Personality: Brand can also project certain personality. Lux projects beauty, Lifebuoy projects a sturdy sports person, Marlboro stands for macho personality.

User: Brands suggest the kind of users also, for example, Enfield Bullet for a policeman, Johnson & Johnson kids soap for children.

A good marketer would use this different meanings attributed by the consumers in brand management decision-making. Depending on the meanings given by the consumers the brand may be anchored deep or shallow on the meanings. More enduring meanings of brands are the values, culture and personality. These meanings in fact define the essence of a brand.

Hence, brands play a very vital role in differentiating the company product from that of competitors. In a market the amount of power and value a brand enjoys differ considerably.

10.2 THE CONCEPT OF BRAND EQUITY

The term 'brand equity' was first used widely by American advertising practitioners in the early 1980s. It was not defined precisely; but in practical terms it meant the brand's long term customer franchise, and the financial value of that franchise. The argument was that:

Brands are financial assets, and should be recognized as such by top management and the financial market.

The financial value of a brand depends on its 'Brand Strength', and the strength of its customer franchise. For most consumer products and trade franchises, with the latter being ultimately based on the former.

The brand's customer franchise can be strengthened by, *inter alia*, investing in product quality and in advertising. In contrast, trade and consumer price promotions produce short-term sales increases but do nothing to build long-term brand equity and arguably might even erode it.

The value of brand equity as a desired value was shown by a 1995 study on brand buying behavior "72% of the consumers will pay a 20% premium of their favored brand choice over their closest competitors."

The importance of assessing the value of Brands as financial assets is evident by the fact annual listing of India's most valued with Brands is published and so are global listings of the world's most valuable Brands

The 2020 listing of India's most valuable brands by Statistica <https://www.statista.com/statistics/323944/most-valuable-brands-india> shows HDFC Bank as the most valuable brand with a value of over 22 billion USD, followed by the Life Insurance Corp of India valued at over 18 billion USD

The 2022 list of most valuable global Brands, is unsurprisingly dominated by technology giants with the four spots held by Apple (over 355 billion USD) Amazon (over 350 billion) Google (over 263 Billion) Microsoft (over 184 Billion) and so on.

In this unit you will study in detail how brand equity is created and measured.

Activity 1

Talk to 10 friends, family members or associates from work about the most valuable brands in the category of Food Products, Financial services products and Technology products. Discuss with them to identify what in their view makes the brands so strong or valued. Analyze their comments and share them here.

David Aaker specifies five levels of attitudes towards a brand.

- 1) No brand loyalty; due to price differential customer will switch brands.
- 2) No reasons to switch the brand; consumers are overall satisfied.
- 3) Customers are satisfied with the brand, and would incur cost by switching the brand.
- 4) Customers relate them with the brand.
- 5) Customers are devoted to the brand.

Brand equity is mainly related to the levels 3, 4, and 5. Aaker (1996) *defines* brand equity as a set of assets (liabilities) linked to a brand's name and symbol that adds to (or subtracts from) the value provided by product or service to a firm and/or that firm's customers.

Components of Brand Equity

To understand the concept of brand equity, its development and the value it creates for the organization, let us refer to the fig 10.1 below:

As proposed by Aakers model of brand equity. The left column of the figure shows the components that contribute to the development of Brand Equity, the middle section shows the outcomes generated by the components and the right section shows the value created by the components and their inter relationships

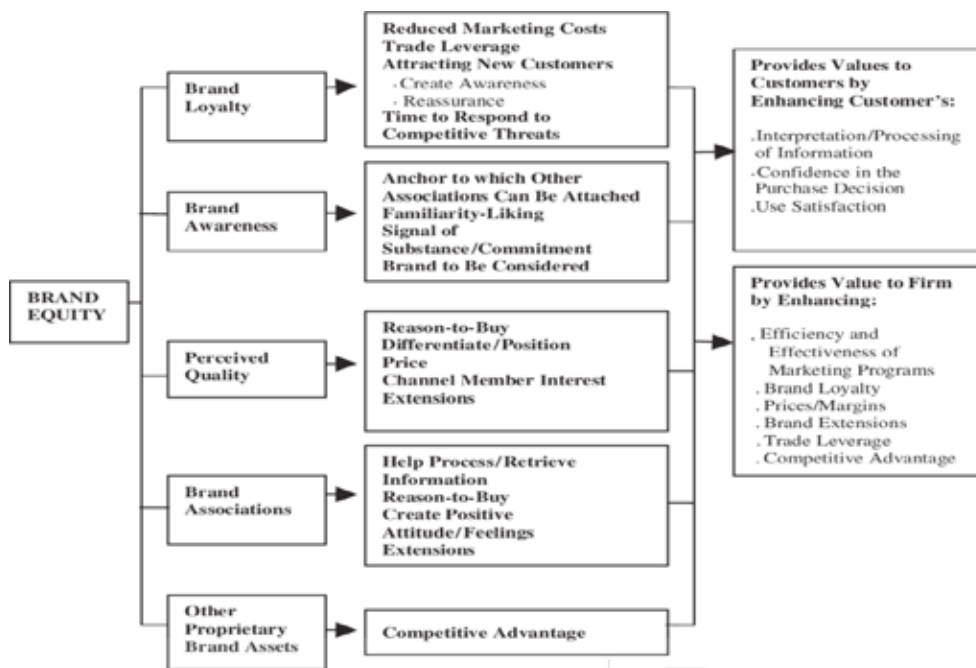


Fig. 10.1

Source: David Aaker, Building Strong Brands. The Free Press, New York, 1996

The main assets that contribute to the development of brand equity are brand name awareness, brand loyalty, perceived quality, and brand associations and other proprietary assets belonging to the organization these assets create value in different ways. The assets create value not only to the customers but also for different intermediaries, and the firm.

Let us now look at the components that enable the formation of brand equity

BRAND AWARENESS

Awareness refers to the strength of a brand's presence in the consumer's mind. Awareness is measured in different ways in which consumers remember a brand ranging from recognition (Have you been exposed to this brand before?) to recall (what brands of this product class can you recall?) to "top of the mind" (the first brand recalled) to dominant (the only brand recalled). At times the brand recognition is so strong that it becomes a generic name for the product category itself- Xerox, which was just one brand of photo copiers but being the introductory brand in many countries became synonymous with the category itself, to the extent that it started getting used as a verb... terms like Xeroxing something, Xeroxed copy became part of common office parlance.

Recognition reflects familiarity gained from past exposure. It does not involve remembering where the brand was seen before, why it differs from other brands, or what the brand's product class is. It is simply remembering that there was a past exposure to the brand. A brand (for example); Medici claim is said to have recall if it comes to consumer's mind when its product class '*medical insurance*' is mentioned. The ultimate awareness level is brand name dominance where in a recall task; most customers can only provide the name of a single brand - e.g., Xerox, Amul Butter, Godrej Storewell steel cabinet. Creating awareness is important and increasingly becoming

expensive because of proliferation of brands in the market. Further, just creating awareness for recognition or recall is not sufficient, the effort should be focused on creating awareness that consumers remember and recall for right reasons and not otherwise.

PERCEIVED QUALITY

Perceived quality is the overall judgment about the quality of the product. It is the bottom-line measure of the impact of brand identity. Quality perceptions cannot be sustained unless the claims are true and substantive. For creating a high quality product and in turn high-quality perception, the marketer has to understand what quality means to the consumer segments, and what are the supportive elements like culture, social groups, reference groups and family.. Perceived quality may differ from that of technical or functional performance of a product. Perceived quality is built over a period of time, if the claims and functional qualities as desired by the consumers are matching, then the quality perception of the product is reinforced. If the claims and functional performances were different the quality perception among the consumers would be eroded. Apart from the claims about the product, the company also vouches for quality. If the consumers have a past perceived quality image it takes considerable time and effort to change that; for example, before World-War 11 the Japanese products were considered being of poor and cheap. It has been slowly and steadily altered to high quality products over a period of time by sustained effort by really offering functionally superior products and the associated claims made by the companies.

Second, a company may be achieving quality on a dimension that consumers do not consider important. During the 80's Zenith offered cold water flow from a tap on the door of the refrigerator on the press of a pedal consumers did not recognize any benefit from it. This model never made it big.

Third, consumers rely on one or two cues that they associate with quality. Thus it is important to understand the little things that they use as a basis for making a judgment of quality. If people kick the car tyres to judge its sturdiness, then the tyres have to be sturdy.

Fourth, because consumers may not know how best to judge quality a metaphor or visual image can help them to see the context correctly e.g., For the first time diamond buyers it should be indicated that quality is not reflected by price tags or carat claims. Marketers also make an attempt, especially in case of a new product or services to educate the consumers regarding quality indicators to verify before they decide

BRAND LOYALTY

Brand loyalty is a key consideration when placing a value on a brand that is to be bought or sold, because a highly loyal customer base can be expected to generate very predictable sales and profit stream. It is less costly to retain customers than to attract newer ones. Enticing new customers is a mistake while neglecting existing ones. The loyalty acts as an entry barrier to competitors. Brand loyalty is a key component of brand equity as it is sustained evidence of the consumers seeking continued value in a given brand and retaining their patronage of the same.

Loyalty segmentation provides strategic and tactical insights that will assist in building strong brands. A market can usually be segmented into the following groups: Non customers (those who buy other brands), price switchers (price sensitive people), the passively loyal (those who buy out of habit not reason or account of this brand being the only one they are exposed to on account of local availability), fence sitters (in different between two or more brands) and the committed.

The passively loyal are often neglected, which is wrong. Distribution gaps should be avoided or brand switching may occur. The committed or loyal customers need to be engaged and retained at any cost as these represent the successful relationships that the brand has been able to cultivate over time. If the competition is able to make any inroads into this segment, it represents gaps in your strategy or some unattended need that was inadequately served. Patanjali's Dantkanti being able to carve out large chunks from the loyal customer base of Colgate showcases exactly this situation of the loyal segment needs to be nurtured and constantly monitored so that changes in their aspirations are captured by the company. Firms should avoid diverting resources from the loyal core to the non-customers and price switchers. To increase brand loyalty, companies often resort to frequent buyer; programmers, volume discounts, discounts on wrappers, even some companies do form user clubs and provide special offers to the members. For example, AKAI the Television brand of 80's started customer service club. Make My Trip awards loyalty benefits to regular users of their services and many large banking services providers like HDFC and Kotak Mahindra, create a separate segment of the loyal valued and premium segment.

BRAND ASSOCIATIONS

The brand equity formation draws heavily from the associations that consumers form about and around the brand. The associations might range from attributes, symbols, music, celebrities and so on. Brand associations are largely driven by the brand identity-which is what the company wants the brands to stand for in the minds of consumers. Some of the classic examples are the Boost advertisements use Sachin Tendulkar as the spokesperson, endorsing that Boost is the secret of his energy; the background music in Liril advertisement, is yet another iconic example which is immortal and the leading Bollywood actresses endorsing for Lux, the enduring health beauty association brought in by the brand tag line and consistently reinforced by the music in audiovisual ads. Associations can be critical factors in differentiating and positioning, creating a reason to buy to those potential customers who are looking for specific associated physical or emotional features

PROPRIETARY BRAND ASSETS

Proprietary brand assets refer to **patents, trademarks and channel relationships** which can provide strong competitive advantage. Being proprietary these assets enable legal protection to a brand against competitive manoeuvres. For example the Nestle logo, which is a proprietary trade mark, protects the brand by preventing other food manufacturers to use similar symbols to confuse the consumers into buying their look alike brands. The unique Coca Cola lettering, the secret formula used to produce

the beverage, patented technologies that distinguish a brand and provide it with a unique competitive advantage are thus legally protected to ensure that the advantage remains the property of the brand manufacturer.

Activity 2

Critically analyze the above discussed components for your most favored brand of smart phone and footwear brand. In your own assessment, suggest how these components have resulted in the brands enjoying the market power that they do.

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How does Brand Equity help in marketing effectiveness

Brand equity helps in building competitive advantage for the company in a number of ways such as:

- The cost of marketing could be lower because of higher consumer awareness and loyalty.
- Company could enjoy more channel power and have leverage in trade negotiations.
- Price realization could be higher because of higher perceived quality. As brand loyalty insulates consumers against price based differentiation it could help off price competition.
- Brand could be easily leveraged for brand extensions.

To gain advantage the managers have to carefully understand the-drivers of brand equity.

Activity 3

In the recent past brand buying (acquisition) and selling have emerged as a new trend in the FMCG sector. Give two examples of such brands and list out the market forces responsible as perceived by you.

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10.3 MEASUREMENT OF BRAND EQUITY

Brand Equity measures could be developed using either a quantitative approach or a quantitative method.

Qualitative Measures will include measures of Brand imagery, Brand Personality, perceived benefits Association analysis and the methods applied are focus groups, in depth interviews, perceptual mapping

Quantitative Measures will include assessing awareness, liking, preference, loyalty, sales, and channel off take, price premiums, cash flows and projections over time

Methods that are applied to arrive at these figures are surveys, tracking studies, Data management and mining of sales data

Young and Rubicam (Y & R), a major advertising agency, developed. Brand Asset Valuator, for measuring the brand equity across products the main parameters used in the evaluation are:

- Brand personality;
- Differentiation of brand in terms of how distinctive the brand is in the category;
- Relevance – a measure of evaluating the meaning of a brand to the respondent, i.e., whether there is personal relevance of the brand to him;
- Esteem - It is closely related to perceived quality, it is used to evaluate what kind of regard the brand is enjoying.
- Knowledge-what a brand stands for?

Y & R hypothesis is that brands are built sequentially, starting from differentiation, relevance, esteem and knowledge.

Equitrend has developed brand equity measure based on three brand assets, namely salience, perceived quality and user satisfaction.

1. Brand salience, refers to the degree to which your brand is thought of or noticed. It is the measure that tells you how well people recognize, notice, or think about your brand when they're making purchasing decisions... It goes beyond the measures like awareness, recognition, and recall.
2. Perceived quality is measured using a eleven point scale ranging from 'outstanding' to 'unacceptable'.
3. User satisfaction is measured by obtaining quality rating of the consumers who use the brand most often. These three measures are used to develop a composite brand equity score.

David Aaker suggested "brand equity ten" for construction of a composite brand equity measure. Four criteria are used in selecting the measures:

- The measure should reflect brand equity, i.e., the conceptualization and definitions should be followed to develop the measure. Sustainable Advantage has been given importance because the brand assets created should not be easily duplicated by the competitors.

- The measure should reflect the market. The managers can use the movements on a measure to understand the movements that can happen on price levels, sales, and returns.
- The measure should be sensitive, i.e., if there is a change in brand equity it should reflect on the measure with a very short time lag.
- The measure should be usable across brands, product, categories, and markets.

BRAND EQUITY TEN

Ten measures were chosen using the four criteria set forth earlier, and presented in five categories in Table 10.1. These are described below:

Table 10.1: Brand Equity Ten

01	Price premium	Loyalty Measures
02	Satisfaction	
03	Perceived quality	Perceived Quality/ Leadership
04	Popularity/Leadership	
05	Perceived value	Differentiating Measures and Association
06	Brand personality	
07	Organizational association	
08	Brand awareness	Awareness
09	Market share	Market Behavior Measures
10	Market price & distribution coverage	

Source: David Raker 1997: Building Strong Brands.

1) Price Premium

It is an indicator of how much the customer is willing to pay for the brand in comparison to another brand offering very similar benefits. It is a measure of brand loyalty. However, the price premiums could be affected by the brands used for comparison. Hence, in practice a set of competitive brands is specified for comparison. Direct questioning like “How much more would you like to pay to buy a packet of `Nescafe instead of `Bru’?” are used to elicit information from consumers. More reliable and sensitive estimates of price premium can be obtained by the use of indirect trade off analysis like conjoint analysis. Price premium is one important indicator because it directly captures brand loyalty- of the consumers. This measure does suffer due to certain inadequacies like:

- Specifying competitive brands would change the value of price premium;
- If the brand is competing with different competitors, in different market segments, then defining competitive bench marks is difficult; and

- If the prices are controlled by legislation, price premium cannot be a good measure.

2) Customer Satisfaction`

Willingness for repeat purchase and sticking to the same brand can be directly measured by customer satisfaction. The range of questions are used to elicit satisfaction directly from the consumers:

- Are you satisfied with the brand?
- Is the brand meeting your expectations?
- Would you buy the same brand on you next purchase?

Brand Loyalty: Sustained loyalty of consumers is a measure of their continued satisfaction and in fact the loyalty to the brand, which in turn is used to measure the power of the brand at retail. Or brand equity which is demonstrated by their repeat purchases despite competitors' efforts to lure them away. Firms invest significant amounts of resources and effort in customer service and marketing to create and maintain brand loyalty for an established product. You just need to recall the loyalty that Apple consumers exhibit towards their brand to imagine the significant contribution that brand loyalty makes towards brand equity, so loyalty measures are also used as strong indicators of Brand equity

3) Perceived Quality

Perceived quality is an important measure found to have direct impact on ROL It has very close association with other factors like functional benefits, organizational association. Perceived quality is measured using-semantic differential scale.

For example, for a specific brand the respondents are asked to rate on the following parameters:

High quality	1	2	3	4	5	Low quality
Best in the category	1	2	3	4	5	Worst in the category
Consistent	1	2	3	4	5,	Inconsistent
Reliable	1	2	3	4	5	Unreliable

As the measure is sensitive to the frame of reference, it is important to clarify to the respondents before they rate the brands.

4) Popularity and Leadership Position

Three important factors need to be considered for defining a brand leadership.

- 1) the proportion of market buying the brand,
- 2) how well the brand matches the market dynamics of consumer preferences, and,
- 3) technical superiority.

5) Brand Value

Functional and emotional benefit of a brand creates value to the consumers. All other things being equal, a brand that generates good value to the

consumers will be stronger than the brands of competitors in the market place. The common measure used is direct questioning.

Is the brand providing good value for money?

This measure is also sensitive to the comparative set of brands used by the consumers.

6) Brand Personality

Emotional and self-projective benefits of brands are captured by brand personality measures. This is an important measure for products with very low differentiation and consumed in social setting for e.g., Cigarettes, liquor, soft drinks, fast food joints etc.

7) Organizational Association

Association of a brand to an organization can be a powerful driver of differentiation. For example, a product from the house of Tata's, vouch for its quality. To understand this association the respondent's agreement on a scale for statements like the following can be used.

- *I trust the organization, which brings out this brand.*
- *I would be proud to do business with the organization.*
- *I will be willing to buy related products introduced by the organization.*

8) Brand Awareness

It is a measure of presence of a brand in the minds of consumers. Brand awareness includes both knowledge and salience of the brand in consumer's mind. In practice brand awareness is measured at different levels, like, recognition, recall, top of the mind, brand dominance, brand familiarity and brand salience.

For instance in case of Recognition Have you heard of IFB Bosch Washing Machines? Recall what brands of washing machines can you recall? Top of the mind First brand name are called in the test. Brand dominance the only brand recalled in the product category. Brand familiarity is the brand familiar to you? Brand salience. Do you have an opinion about the brand?

9) Market Share

Performance of a brand ultimately reflects in the market share. Market share data is more objective and easily available to the firm. However, problem like specifying the product class or served market would affect the value of market share. Apart from the effect of brand equity, market shares can be affected by changes in prices or distribution and so on. Segregating the effects of other variables and evaluating the effect of brand equity is difficult.

Activity 4

Which measures of Brand Equity (BE) in your view would be most suitable to measure the BE for:

- 1 A telecommunication service brand which has become a market sensation with its entry a couple of years ago.
- 2 A runaway market success like the pulse candy

Give appropriate justification for your choice of measures to be used

Brand Equity

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10) Market Price and Distribution Coverage

Relative price of a brand in market place is another factor to be considered important in measuring brand equity. Relative price is calculated by dividing the price of a brand in a particular period, by average price of all the brands in the product category.

Distribution coverage is another measure considered important. It is measured by the percentage of stores stocking the brand, and percentage of consumers, who have access the brand.

Activity 5

Consider any two leading consumer durable brands of your choice. Apply the ten measures technique suggested by David Aaker and study the effectiveness of the brand equity measurement if applied to these brands.

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10.4 COMPOSITE MEASURE OF BRANDEQUITY

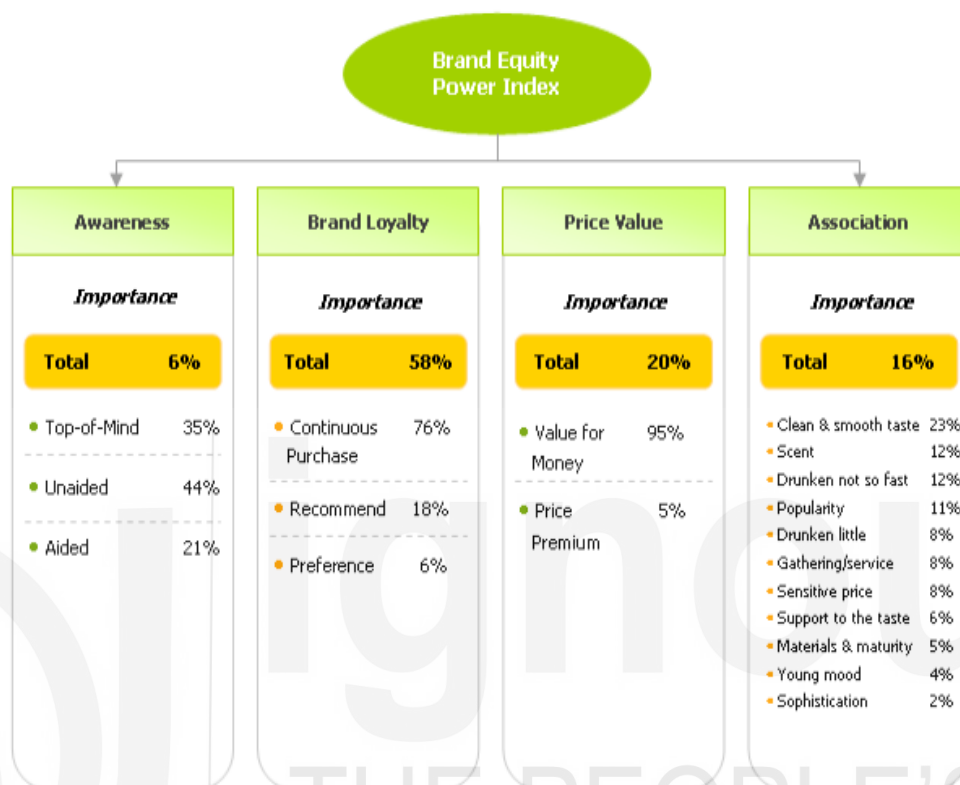
As mentioned above measuring brand equity using several measures would be difficult and misleading .For developing a composite measure the four following issues have to be considered.

1. Deciding on the constructs that are going to be basis of brand equity measurement system. And importantly, how to measure these bases?
2. Whether all bases have same weightage or there is a need for finding appropriate weights for different measures.
3. How to combine the chosen measures?
4. How to decide the competitive brands for comparison?

The above issues need to be considered seriously because it would help in constructing the measure, which is more relevant to the brand in question. Just to illustrate, if you have chosen to use Brand Awareness, Brand Loyalty,

Price, and Brand Association, and on the basis of analysis of buying behavior of your target market have assigned importance weights as shown in the table 10.3 below, you can create a composite index of brand Equity for your brand in a given market.

Table 10.3



Adapted from Trent and Mahr "Marketer's methodologies for valuing Brand Equity, CPA journal, October 2017.

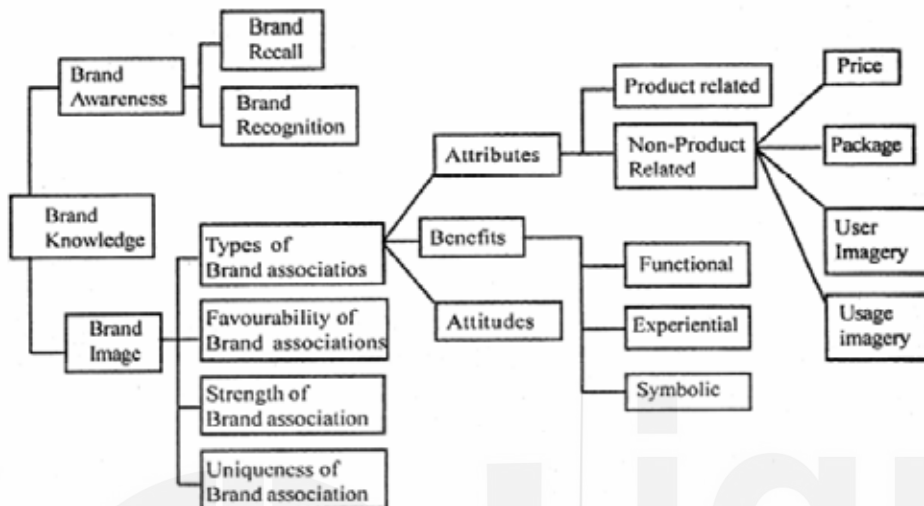
10.5 CUSTOMER BASED BRAND EQUITY- (CBBE)

Keller (1998) has proposed a customer based brand equity framework. The rationale for this approach is that customer plays a central role in the creation and management of brand equity. Brand equity is viewed as the differential effect that customer's brand knowledge has on their response to the marketing of the brand (refer Figure 10.2). The brand will have positive customer based brand equity when the customers respond favorably to the product and the marketing strategy of the company, when it is compared to the unnamed version of the brand. The power is gained or lost based on their learning and experience over a period of time. Brand knowledge is created by associative network in the minds of consumers.

Brand awareness is related to the consumer's ability to recognize and recall a brand in different conditions. The depth of brand awareness refers to the likelihood that a brand is recalled or recognized. On the other hand breadth of brand awareness means in variety of purchase and consumption contexts in which the consumer get the brand in their mind.

Brand image is related to the consumer's preferences for and perceptions of a brand. Various brand associations in the minds of consumers reflect it. In fact brand associations can be of many forms, but very often used ones are, product attributes and product benefits.

Figure 10.2: Dimension of Brand Knowledge



Reproduced from Keller 1998 Page 94.

Keller's Model of CBBE enables ways to enhance customer's involvement and loyalty to the brand by highlighting the brand knowledge linkages that need to be strengthened or dissociated if negative.

Positive customer-based brand equity has many advantages like long term revenues, customers' willingness to seek out for themselves new channels of distribution, the ability of firms to command higher prices and the effectiveness of marketing communications (Keller, 2003).

10.6 HOW BRAND EQUITY IS CREATED?

In the previous sections we discussed about what brand equity means. The brand equity starts building up when the customers have higher brand awareness and brand recognition. Having these two is not just sufficient; consumers should have strong association of the brand that too favorably and uniquely. In low involvement products even brand awareness may be sufficient, but in high involvement products the brand association is important because the consumers have sufficient motivation to seek more and more information. This intensive information search and processing the accumulated information will change the brand association over a period of time. Associations will generate value when they are

1. **Strong**
2. **Favorable and**
3. **Establish brand uniqueness.**

Strength of brand association: The levels of information processing by the consumers determine the strength of brand association. The nature of information, quality, and quantity of information also has impact on the association. More deeply a consumer thinks about a product, more will

be the brand association. Similarly, the information search will be higher when the brand has more personal relevance. Further consistency of the information also has impact on strength of brand association.

Favorable brand association: It is created when the company develops marketing strategy effectively to deliver product-related and non-product-related benefits that are desired and preferred by the consumers. This process has to be consistent over a period of time.

Unique brand associations: It is necessary to create a set of meaningful points of different brand associations to gain competitive advantage and establish an understanding of the uniqueness of the brand on given attributes in comparison to the competitors

10.7 BUILDING BRAND EQUITY

Three considerations are important for building brand equity. They are:

1. Choice of brand elements that make up the brand.
2. Developing and implementing marketing support programs
3. Leveraging secondary associations by linking the brand to other entities.

It is necessary to consider the complementarity and consistency of various ways and means of building brand equity. The complementarity factors are, choice of different brand elements and different marketing support programmes. The strengths of some elements have to be compensated for the short comings of the *others* elements.

Consistency refers to the fact that different brand elements, marketing activities sharing same common meaning. It also implies that the meaning is communicated to the consumers without much distortion. Keller has suggested six guide lines for building brand equity; they are presented in Table 10.4

Table10.4: Guidelines for Building Brand Equity

1.	Mix and match brand elements: brand names, logos, symbols, characters, slogans, jingles and packages etc. Choose different brand elements to achieve specifically identified objectives and design brand elements to be mutually complementing each other for the greatest synergistic effect.
2.	Create rich brand image and enhance perceived quality by developing, and linking product and non-product related associations to the brand.
3.	Value-based pricing: Set prices and discount policies over time to reflect value. Perceptions of the consumers, and incorporate their willingness to pay a premium.
4.	Channel synergy: Blending 'push' strategies for channel members and 'pull' strategies for consumers.
5.	Marketing Communication: A wide range of communication channels including social and digital media can be used to create awareness, strengthen favorable and unique brand associations. Utilize the integrated marketing communication approach to ensure synergies Apart from creating the above it is essential to maintain consistency for reinforcing the developed associations.

6. **Leverage Secondary association:** When some dimensions are missing it can be compensated by associating other entities like company, channel, other brands, celebrities, or endorsers that build the brand image, for example the intel inside a is a powerful secondary association used by computer brands

Source: Adapted from Keller (1998).

Further, it is to be noted that just building brand equity is not sufficient. It has to be sustained and managed over longer period of time and ideally enhanced over time. For this the managers have to take a broad view of brand equity. This is important especially when the firm is operating in multiple markets. Creating brand hierarchy is critical in these cases. The brands should have unique brand elements. To achieve this new brands and brand extensions have to be designed to maintain an optimal product portfolio. Brand awareness and positive brand image has to be created in each of the market the firm is doing business. Long term view is necessary because, the marketing support activities will have impact not only in the current period but also in the future. A special challenge to maintaining brand equity over time arises when the brands go through brand repositioning exercises. While the repositioned brand may resonate with some existing customers and attract some new ones, some of the regular ones may even feel alienated. The long term impact on brand equity in such situations needs to be closely monitored and analyzed for informed managerial action

Building Strong Brands

What is a strong brand? Interestingly, marketers are not particularly articulate in identifying the characteristics of brand strength beyond market share. However, when asked to identify strong brands with no supporting guidelines, there is a great deal of agreement about which brands are strong and which are not.

Several attributes characterize brands that marketers describe as strong, including salience with respect to the product category. Leavitt (1987) noted that strong brands more likely to have shape and substance. They evoke a more extensive, richer set of associations. Visual images and word or phrases linked with strong brands are likely to be more easily retrieved from memory. Finally, strong brands are held in high regard. Interestingly strong brands often enjoy high market share, but market share alone does not distinguish them from other brands. Aaker (1996) and Keller (1998) suggest the following guidelines for building strong brands (Table10.5).

Table 10.5

1.	Build Brand Identity: Consider brand as a person, or organization, or a product. Brand image is different from identity. Image refers how the brand is perceived, and identity is how the company aspires to be perceived.
2.	Commit for a Value Proposition: Each brand has a driving value proposition. Find out the driver and the functional, emotional, anti self"-expressive benefits that consumer expects. Build the brand relationship to strengthen the above.
3.	Position the Brand: The positioning should consider necessary and desired points of parity and points of differentiation in the product category. Clear positioning will guide a clear communication strategy.
4.	Implement with Consistency: The communication should be aimed at creating awareness. brand association etc. Also it should be consistent and durable.
5.	Consistency over Time: Maintain logos, symbols, imagery. If there is a need for change, understand the consumer minds before doing any modifications.
6.	Brand System: The brands in the portfolio should have synergy.
7.	Leveraging the Brand: Plan for extensions carefully to increase the brand identity, image, and other positive associations.
8.	Monitoring Brand Equity: Monitor the brand over time, including awareness, perceived quality, brand loyalty, brand associations. Communication channels and messages are also need to be tracked regularly.
9.	Brand Responsibility: Assign responsibility of a brand to someone who can coordinate all the brand related activities organization wide.
10.	Invest in Brands: Continue to invest on brands to nurture them. It is important to enhance brand equity by continuous product innovation, distribution, etc., to sustain the consumer relevance and user and usage imagery.

10.8 SUMMARY

Brand equity is like any other intangible assets difficult to evaluate and manage but highly valuable to the company in terms of the market power it enables. It can be defined as the consumer franchise for the brand. Various measures have been proposed for valuing the brand equity. Some of the important measures are brand awareness, brand association, brand personality, Price premium, customer satisfaction, perceived quality, brand salience and so on. Composite index can be constructed using these measures by weighted average for arriving at a single value. The weights have to be chosen carefully to reflect the product category, served market and so on. Brand equity can be nurtured and built by careful planning and implementation of marketing strategies. Merely building brand equity is

not sufficient, it has to be managed and sustained over longer period of time. To do so the managers have to take a much broader view of brand management than managing a single brand.

10.9 SELF-ASSESSMENT QUESTIONS

1. Developing brand Equity is a process spread over time and consistent brand building effort. Select a strong Indian brand and trace its brand building effort.
2. Evaluate the various methods of brand valuation in the Indian context.
3. Creation and management of Brand equity revolves round the consumer. Do you agree or disagree substantiate your answer.
4. How does brand equity add to the competitive advantage of an organization, Take three examples from the Indian context to illustrate.
5. Use the composite brand equity measure discussed in the unit to try and assess the brand equity of a brand that your organization or any organization that you are familiar with has developed.

10.10 REFERENCES/FURTHER READINGS

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UNIT 11 BRAND BUILDING BLOCKS: IDENTITY IMAGE AND POSITIONING

Objectives

After reading this unit you should be able to:

- discuss the rationale behind branding
- identify the steps involved in brand building
- define a brand building block
- identify and assemble the brand building blocks
- design a strategy for building of a strong brand
- evaluate the implications of brand building

Structure

11.1 Introduction

11.1.1 Branding

11.1.2 Rationale behind Branding

11.2 Brand Building Blocks

11.2.1 Brand Identity

11.2.2 Brand Performance

11.2.3 Brand Imagery

- Brand Positioning

11.2.4 Brand Judgments

11.2.5 Brand Feelings

11.2.6 Brand Resonance

11.3 Summary

11.4 Self-Assessment Questions

11.5 References/Further Readings

11.1 INTRODUCTION

Consumers buy brands and not products. If you closely examine this statement you would appreciate the importance of branding of product/service offering by a firm. Brand helps us in simplifying our buying decisions and enables in deriving customer satisfaction. This unit will take you through the various stages and processes involved in transforming a product into a strong brand over a period of time. As you go through the unit you will understand and appreciate the intricacies of all the brand building tasks and will also endorse the absolute need for branding of for every market offering thus creating a win-win situation both for the marketer and consumer.

This unit is conveniently divided in to three sections. The first part introduces you with the relevance of brand building whereas the second

section focuses and identifies the various brand building blocks and then suggests on how building blocks can be assembled altogether to achieve the objective of building of a strong brand. Subsequently, the last section of this unit acquaints you with the implications of brand-building which you may try and implement in real life situations.

11.1.1 Branding: An Overview

A brand is a name, sign, design, sound, symbol, term or a combination of some or all of these that are specifically fixed to a product, good or a service to facilitate its identification by its users, buyers, retailers, and manufacturers etc. The name, sign, design, sound, symbol, and terms that a marketer or a manufacturer choose to make his or her goods or services identifiable with, are called brand elements.

Brand elements play a very significant role and as a result, selection of these brand elements becomes a very demanding and daunting task for the marketers. Every marketer wishes that his offerings should sell more, however, to make them more saleable, they need to be made easy identifiable and recognizable at first sight. Brand elements should be chosen in such a way that they are:

- ✓ **meaningful** for example Volkswagen means “the people’s car”, Decathlon means a an athletic event comprising of ten activities, paytm means pay through mobile
- ✓ **updatable** for example Volkswagen has updated its logo more than 10 times since its inception in 1937
- ✓ **memorable** for example LG – life is Good, Fair & Lovely cream
- ✓ **transferable** Jio was initially launched as a telecom service provider and now it is extended to fibre sector as well
- ✓ **legally protectable** the sale of trademark of Ambassador brand by Hindustan Motors to Peugeot SA for sure will protect Peugeot SA from any unauthorized usage of Ambassador by anyone else
- ✓ **differentiable** for example in automobile OEMs, the brand elements like Tata, Mahindra & Mahindra, Ford, Ashok Leyland are easy to differentiate from others and so are their products like Safari, Thar, Scorpio, eComet, Fusion, Mustang and Comet etc. Further, dark red colour of Vodafone make it easily and quickly identifiable from others brands.

Once the selection of brand elements is decided on the bases of aforementioned pointers, they need to be registered as one’s trademarks with the concerned authorities to avoid other marketers to use the trademark in their marketing and selling activities. For instance, Adani group is looking forward to foray into automobile sector in India and prior to their foray it has registered ‘Adani’ trademark for vehicles operating in water and on land.

The process that starts with ideation of brand elements, and then expands to making a special space in the minds of customers on some aspects in relation to the competitors, especially through adapting an appropriate marketing mix, is known as branding.

11.1.2 Rationale behind Branding

There are a number of reasons for which a marketer needs to take serious initiatives regarding branding. Some of these initiatives are explained below:

(i) For Identification and Brand Association

As discussed in the earlier section, the very first objective of branding is to assist the customers and other stakeholders in identification of a brand.

If you recall or look back how your day had begun and ended is quite interesting which you alone can self evaluate to understand. Assume that as soon as you wake up in the morning the very first thing you may check the mobile phone say a Samsung/Mi/Apple/ mobile phone for getting an update regarding messages and e-mails. Then it's time for a morning walk with a pair of Reebok/ Adidas/ Decathlon/ Nike/ Fila walking shoes and also a track of one of the above brands mentioned against your walking shoes. Back from morning its time to brush teeth with the preferred tooth paste and then fresh up with Lux/ Dettol/ Liril/ or may be any other brand of your choice. At the breakfast table you eat whatever is there on the menu may be roti/ paratha prepared by using any branded Atta and a cup of tea/coffee/ milk/health drink as per your choice and the brand that is used by the family.

Now, it's time to get ready for school/college/job as the case may be you wear a Peter England/Raymond/Black Berry/ dress and shoes of Woodland/Bata/Red Tape/any other brand. In case if it is a school, every school as a well defined school uniform of varied colour combination. If you are in college it would be different brand of trouser, T shirt and footwear brand.

Once you return back say from school, college or job you are exposed to a number of discussions or conversations with our friends and peers on various topics besides our core responsibilities such as games, movies, sports persons etc. Before dinner you may watch news on a particular channel on your LED television of LG/SONY/ etc. Once again on the dinner table you may enjoy roti or paratha made of from either one among this Rajdhan/Ashirwad/Fortune/Annapurna/Patanjali or any other make, and may eat rice and lentils of a specific brand etc.

Before going to bed you may take milk of Mother Dairy/Amul/any other make. Undoubtedly, in our sleep, we generally dream about various things and through them again you are exposed to various brand names. Therefore, in our daily life, we come across a large number of brands. While being around them over the years, we start associating ourselves with them and it becomes a little difficult for us to deflect to other brands. This is what is really appreciated by marketers as this exerts a significant influence on their top and bottom lines.

(ii) For Protection of an Innovation

A brand is always a reflection of an idea. However, many times it is a platform through which an innovator can protect his/her innovation as well. One can register copyrights and patents in the name of an individual(s) or a brand(s). Therefore, a brand can be a platform through which one can protect the innovation and commercialise the innovation for profit making. For example In 2013, Kansai paint got patent for paint protection sheet and is now keeping all other firm at bay from using it in their operations. Besides patents and copyrights, a brand also allows one to prohibit other from the usage of logo, design, name, sound, and trademark as well. For instance In 1993, Bisleri sold the trademark MAAZA and its formulation rights to Coca-Cola for US \$ 1 million but in 2008 it filed for MAAZA trademark in Turkey and initiated exporting of fruit drink under MAAZA name again. Later, it was sued by Coca-cola and the honourable court asked Bisleri to stop the usage of MAAZA trademark with immediate effect as trademarks are protected worldwide.

(iii) For Sustainability

Products pass through the stages of introduction, growth, maturity and decline before they actually become obsolete. On the contrary brands are everlasting and they never die. For e.g. rolling out of 'BS IV' standards in 2011 was the time when Ambassador Car was outlawed and forced to stop its production in 2014. However, it was in 2017 when Peugeot SA, an automobile OEM from France, acquired the trademark rights of Ambassador from Hindustan Motors for INR 80 crore. Even though no automobile/car is being manufactured from any of the facilities of Hindustan Motors, the brand name Ambassador is still live and will take its rebirth when Peugeot SA launches a car with a brand name of Ambassador. Even if Peugeot SA does not launch any of their products with Ambassador, it will still be alive and keep on take rebirths whenever its users talk and share their experiences about it. Therefore, a brand can sustain while a product for sure dies.

(iv) For long lasting Value

If we look at the top 100 brands of previous years and match with them with that of present years, we find that most of the brands that were there in that list are still ranking good in the present era. Therefore, whether new or old, good brands if managed appropriately and thoughtfully endure for generations. For example As per Kantar Brandz, top four brands in 2021 are Amazon, Apple, Google, and Microsoft while top four brands in 2010 were Google, IBM, Apple, and Microsoft. It shows that brands endure over time.

Activity 1

Download the Kantar Brandz list of top 100 brands for 2010, 2015 and 2021 and prepare a list of brands that are enduring and explain the reasons thereof.

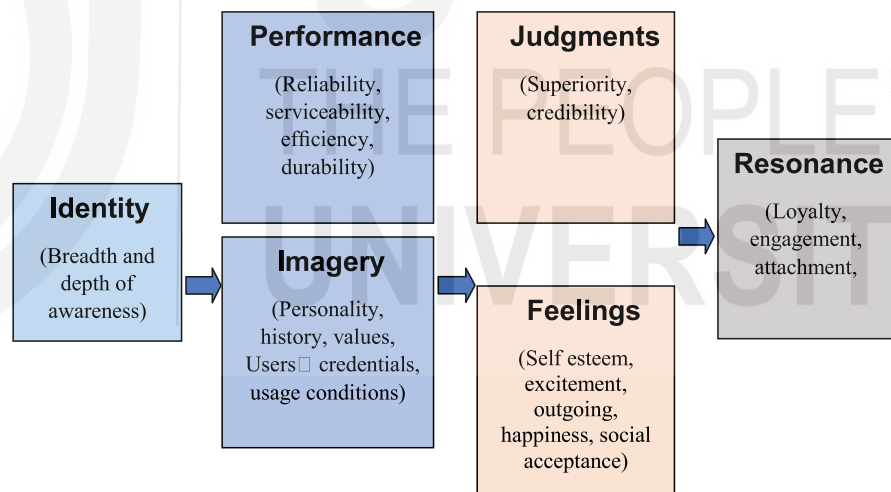
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11.2 BRAND BUILDING BLOCKS

According to Keller (2013), there are six building blocks in brand building namely

1. **Brand identity**
2. **Brand performance**
3. **Brand imagery**
4. **Brand judgments**
5. **Brand feelings**
6. **Brand resonance**

When assembled in an order (see Figure 1) can provide a base required for building of a strong brand. These blocks are being discussed below:-



(Source: Adapted from Keller, K. L. (2013). *Strategic Brand Management* Pearson: Building, Measuring and Managing Brand Equity. Pearson Education Ltd.)

Figure 1. Brand Building Blocks

11.2.1 Brand Identity

Brand identity measures how often a brand is evoked across different settings and situations. These situations can be the ones during an actual purchase, it can also be the ones during the word of mouth recommendations or may be the ones during the future planning of a purchase. During these situations, it will be really interesting to know

How.....

- ✓ *easy is it to recall a brand?*
- ✓ *well a brand is recognized?*
- ✓ *often a brand is getting recalled?*
- ✓ *the potential customers are recognizing a brand?*
- ✓ *the target customers are recalling the brand?*

Brand awareness is responsible for providing an identity to a product by establishing a connection of brand elements with product categories and consumption conditions. How easily we recall a brand and how likely a brand element is recalled is brand awareness's depth. On the other hand, the range of consumption and purchase situations in which a brand element is recalled is known as brand awareness's breadth. Marketers are of the opinion that products can be grouped at different levels and can be arranged hierarchically. Marketers also assume that in consumers psyche there exists a product hierarchy from top to bottom and information regarding brands at the last level.

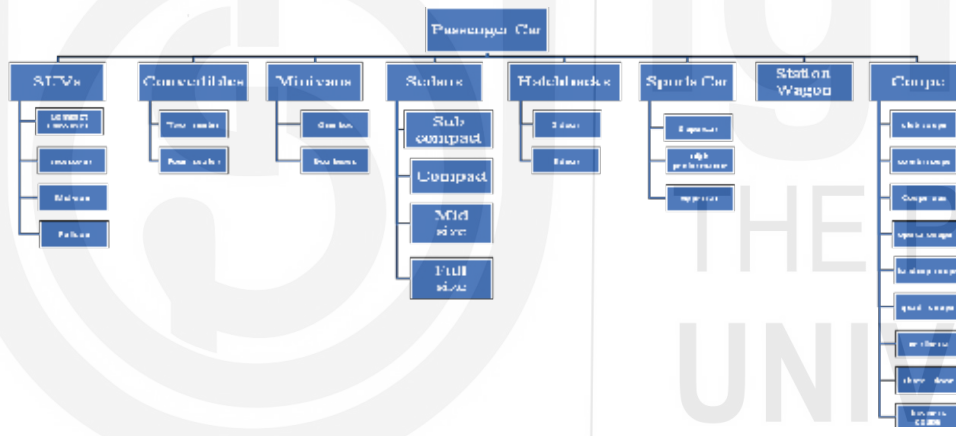


Figure 2. Product Category Structure of Passenger Car

Let's take the example of passenger car product class fig.2 there are eight different product categories namely sports utility vehicles (SUVs), convertibles, minivans, sedans, hatchbacks, sports car, station wagon and coupe. Among these, SUVs are again of four types and they are compact crossover, crossover, mid-size and full size. The convertibles, on the other hand, are of two types, namely two-seater and four-seater, whereas minivans are either one-box or two-box. When it comes to sedans, there are four types and these are sub-compact, compact, mid-size, and full-size, whereas hatchbacks are of two types, namely five door and two door respectively. Sports car can be any one among the supercar, high performance and hyper car, while coupe can be any one among the club coupe, combi coupe, coupe SUV, opera coupe, hardtop coupe, quad coupe, berlinetta, three door and business coupe.

The way the product hierarchy prevails in one's memory plays a significant role on the awareness and consideration of a specific brand. While in case of oral care, if a customer chooses to have a toothpaste, then next it is the

choice has to make among sensitive, whitening, fluoridated, tartar control, children's and herbal. If one picks a whitening option, then the next decision has to involve with is the brand choice.

The depth of one's brand awareness's influences the probability of a brand recall, whereas, the brand awareness's breadth on the other hand, covers all the different situations during which a brand can appear in one's mind. Normally, toothpastes have a better depth on awareness front and they are easily there in one's mind whenever one deals with different consumption related situations. Their availability is also better than that of tooth powder, floss, mouthwash, and chew sticks.

If one looks at the practical example of product hierarchy structure of oral care, most of the time it is the toothpaste that comes to mind when one thinks of oral care. Further, most of the times Colgate that is recalled whenever a customer thinks about toothpaste. Colgate has become synonym with toothpaste and as a result, whenever a customer goes to a nearby grocer for toothpaste, generally asks for Colgate even when if someone may be there to buy some other brand of tooth paste. Therefore, breadth and depth of awareness of Colgate brand is very high. It is also reflected in Kantar brandz list of 2020 wherein it is ranked 48 in top 75 brands from India.

Activity 2

Measure brand Identity of footwear product category in your neighborhood through the following questions –

- i) Which of the products of daily use you identify footwear with?
- ii) Which of the brands you identify with the product identified in the last question?
- iii) Which of these brands you mostly think of?
- iv) If you are supposed to buy one of these brands, which brand will you go for?

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11.2.2 Brand Performance

A product offering is one through which a brand fulfils its promises it has made to the potential buyers. The buyer buys and consumes and based on their consumption experiences the buyer forms their own perception towards the brand in question. Conceiving, designing and developing a brand and eventually commercializing, and offering the brand to the target

market which is capable of meeting the needs and wants of the target customers becomes obligatory for all the brands by the marketer. In reality, brand performance measures how aptly the offering of a brand have met customer's expectations.

Brand Positioning

Brand positioning is the art of communicating the brand by way of creating a distinct image and position in the minds of the target customers. Usually, the strongest or the best brand **positioning** can't be worked out unless and until it is overpowering other brands on performance aspect. For example Bangur Cement claims that are not cheap, though they are the best. In saying so, they can position themselves as the best cement brand only if their cement is actually better than rest of the cements on various parameters the consumer consider while purchasing cement.

There are five facets which measures brand performance and they are discussed below:

a) Reliability, serviceability and durability of product(s)

A product is said to be reliable if it performs consistently the same way, over the time, across different purchases. If the product can be repaired if needed then the product is scoring well on serviceability aspect, and if a product is long lasting it is said to be durable in nature. Take for example Xiaomi brand of smart phone which was launched in India around 2014 with its Mi3 model but people were reluctant to buy as the service centers were not since place in the beginning. Once the firm started its manufacturing in India in August 2015, most of the customers were assured on serviceability as spare parts were available for servicing the phone. However, when it comes the durability, Xiaomi phone are not that rugged, even then, because of its features, Xiaomi is the no 1 Smartphone brand in India in third quarter of 2021.

b) Effectiveness, empathy and durability of service(s)

Primarily, customers are found to possess performance related affiliation with the services. Though the magnitude of this affiliation again depends on how the brand provides the right service, i.e. effectiveness, and providing services right, i.e. efficiency. However, in the absence of any concern for the customers' feelings and opinions, a service will not have any kind of long lasting effect on consumers in spite of being effective and efficient. Therefore, apart from being an effective and efficient service provider, a brand should always have empathy for the customer's views, opinions and suggestions and to be respected at all times.

c) Design and style

Product design always adds to the brand functions. Buyers sometimes also go beyond the functional characteristics of a product, like color, shape, size, style, smell etc. In a nutshell, aesthetics play a pivotal role in letting the customers decide about a product purchase. For example Ikea, a firm founded in Sweden and headquartered in Netherland, is a well known brand in furniture. Its Adde chair comes in four colors, Grey, White, Red and Black. Its legs are made up of steel, while seat and backrest are made up of polypropylene. It is portable because it can be dismantled easily. It is

designed in Sweden and looks cool and attractive. You can also identify and examine many such innovative and flexible brands which made their mark and positioned in the market place.

d) Credentials of an offering

By and large, customers have opinion about the standards by which the ingredients of products function (not so good, good, very good, the best) besides other issues like (patent, copyright, warranty, guarantee etc.) even though there are supplementary in nature yet they have a bearing on the customers in their purchase decisions. If you look at the automobile brand M&M Thar it offers a good 4 x 4 ride during off road visits to a customer, and at the same moment the customer is free to choose in between soft and hard roof tops options available during the purchase.

e) Price

Price is one of the most important aspect on which consumers decide their purchases. Premium customers look for higher prices whereas lower middle class consumers search for discounted products. Price also works as a cue to quality for consumers. It is normally perceived that higher priced brands have better quality while lower priced brands are relatively inferior in quality. For example most of the Maruti Suzuki passenger cars, models namely Swift, Baleno, S-presso, have failed safety test conducted by global NCAP but still they are no 1 in market share in India. It is mainly because passenger cars cost relatively less and are affordable with value for money.

11.2.3 Brand Imagery

Brand imagery is how customers abstractly perceive a brand and here they do not watch what a brand in actual does. It is more of an intangible facet of a brand and consumers establish imagery associations either through their own experiences with the brands or through the communications they receive from various marketer and non-marketer information sources, like word of mouth, advertising, public relations, sales promotion etc. Though there can be many types of intangible associations that consumers espouse to form brand imagery, the most predominant among them are the following four.

a) Values and personality

According to Aaker (1997), if all the brands are considered as human beings, they may be in any of these five forms i.e sincere, exciting, competent, sophisticated and rugged. They are also supposed to have human values as per Plummer (1985), these values are lively, modern, exotic and passé. For example if one looks at Royal Enfield, it seems to have a rugged brand personality.

b) Heritage and history

Brands also showcase their history and milestones achieved in past to create an image in the minds of the customers. These can be associated with the color of the product, packaging of the product, commercial aired, country where the product is manufactured, firm manufacturing the product, geographical indications, endorsers of the brand, and events the brand sponsors etc. These secondary associations for sure make a point of difference.

c) Buying and consuming settings

The circumstance under which a brand is shown to have been consumed, especially during commercials, also creates an image among its buyers. These circumstances can reflect upon a particular season, week, month, day, year or even a particular time of a day. For instance the TV commercial of Maggi reminds that whenever you are hungry you can reach out to prepare Maggi noodles which takes just two minutes of your time and also focuses on the how simple it is to prepare. Similarly, an old commercial of Coca-cola with Amir Khan portrays that 'Thanda Matlab Coca-Cola', which again suggests that whenever you wish to have something cold you should go for Coca-Cola.

d) User Imagery

Consumers also give importance to find out the individuals and firms who are using /consuming the brand. In doing so they try to analyze looking at the following aspects which are mentioned below:

Race: In northern India, people prefer bread /loaves over cooked rice. Since childhood they are being consuming wheat as their staple food. Thus they keep associating themselves more with flour brands and less with rice brands. Surprisingly, in some cases, they do not even know any wheat brand. Therefore, whenever, people from Northern part of India have an image in their mind that people from north consume wheat alone..

Gender: The wellness brand Fair & Lovely is targeted at female gender while Fair & Handsome is targeted for male users. Boys ride Royal Enfield while girls ride Pleasure.

Income: Hidesign leather brand of bags, wallets etc are primarily targeted at women over and above 25 years of age and are high income professionals who are also frequent travelers for their official trips.

Age: Cadbury brand generally showcases that their chocolate brand is consumed by youngsters whereas insurances are shown to have been bought by mature people. Again youth are related with cigarette brands while old are associated with cigar brands.

Brand Imagery, as discussed above, and brand performance, as explained in the earlier section are strongly related to yet another facet of brand building, called brand positioning which is being discussed below:

Brand Positioning

It is the art of creating a distinct position or image of a product or a service in the mind of its target customers: (Ries, and Trout, 2000).the distinct image is with reference to the image(s) of the competitor(s). To decide upon the brand positioning, a firm has to consider the following aspects namely:

- (a) **frame of reference,**
- (b) **point of parity and point of difference,**
- (c) **brand mantra.**

- (a) **frame of reference**

A frame of reference is the (product) category a brand belongs to. A brand has to identify its competitors in that category. After identifying the competitors, the firm has to analyze the objectives, current management, financial condition, and size of these brands. A brand has to also analyze how actually the customers perceive about all these competitors. For example – Royal Enfield belongs to the two wheeler product category and specifically it competes with all the two wheelers, namely Bajaj, Hero Honda, Ola electric, and TVS etc. on analysis of all these firms, they can easily identify which of these firms are actually competing with them and what their financial condition, sizes, policies are. They can also conduct research to see how all these competitors are perceived by the two wheeler customers.

(b) Points of parity and points of difference

After deciding about the frame of reference, the next step is to decide the points of parity and points of difference. Points of parity are the aspects or benefits customers perceive to be present across all the brands in the concerned frame of reference, whereas, points of difference are the benefits or aspects customers assume to be present in a particular brand. For example – In the case of Royal Enfield, points of parity can be (i) a two wheeler, (ii) cubic capacity of 350 or 500 (c) ruggedness and (d) pricy etc. At the same time, its points of difference are (i) sound (ii) load carrying capacity (iii) off road capability and (iv) heritage and history etc. Though, the problem with the Royal Enfield is that it certainly misses to stand strong on ‘modern’ and ‘quick’ aspects of point of parity. To deal with quick aspect, the brand has launched a number of quicker models, namely Himalayan, Interceptor, Scram, Meteor and Continental. On the other hand, to deal with modern aspect, the classic 350 series is launched with all new colors, namely dark stealth black, signals marsh grey, halcyon green, redditch sage green, halcyon grey, redditch red, gunmetal grey, signals desert sand, redditch grey and halcyon black.

(c) Brand mantra.

Brand mantra is a phrase of 4-5 words through which a brand expresses its heart and soul. A brand mantra highlights the points of difference. It guides the employees and channel partners in understanding what essentially to symbolize with the customers. While designing a brand mantra, it should ensure that phrase of brand mantra should that to be selected in such a way that it is simple and has the ability to communicate the uniqueness of the brand. For example – Brand mantra of BMW is ‘build the ultimate driving machine’. This mantra highlights how BMW is different from others. It also guides employees of BMW on what they actually have to symbolize the customers with.

Once a brand is done with frame of reference, point of parity and point of difference, and brand mantra, it should communicate to the target customers there aspects. For example – Bajaj “Hathi Mat Pallo” campaign to tell the customers that Bajaj (also) belongs to the 350 cc category bikes and is a far better option for the customers looking to purchase a vehicle in this category. By targeting Royal Enfield in this campaign, Bajaj portrayed that

Bajaj Dominar 400 was a better option than Royal Enfield. In claiming so, they showcased agility and control as the point of differences wherein Bajaj Dominar 400 was shown to have hyper agility and hyper control whereas Royal Enfield was shown to score really bad on agility and control. Through this campaign, Bajaj tried to create a distinct image regarding the model in the psyche of the target customers.

Therefore, as per the aforementioned discussions on brand positioning and the earlier discussions held on brand performance and brand imagery in section 8.2.2 and 8.2.3, it is concluded that brand performance and brand imagery can assist a brand in creation of a strong brand positioning for a brand.

11.2.4 Brand Judgments

Customers form opinions about the brands on the bases of imagery and brand performance. These opinions are called brand judgments. There can be a number of brand judgments. However, the four most important among these are credibility, superiority, quality, and consideration.

a) Credibility

Consumers keep on rating brands on their likability, expertise, and trustworthiness and these ratings decide their credibility. For example – Apple, as a brand, is perceived to be very innovative and competent (expertise); dependable (trustworthiness); and interesting, attractive and funny to be with (likeable).

b) Superiority

When consumers find some brands unique and better than rest of the other brands, they are considered to be superior brands. For example – Tesla, a brand by Elon Musk, is considered to be unique and the most innovative automobile brand in these days.

c) Quality

Consumers have mental predispositions regarding brands and these are relatively permanent. Among all these predispositions, the predisposition of a customer about a brand regarding the fulfillment of his/her expectations is the most important one.

d) consideration

A customer comes across a number of brands daily, form opinions about them, and even form favorable attitude about some of them, however, it is not important until and a customer finally considers the brand for purchase. For example – In India, Tata Nano was a good idea. People appreciated it, especially the price it was offered at. However, buyers of automobile in India did not consider it for their purchase. It was mainly because, in India an automobile in India is considered as a status symbol, and with Tata Nano the customer was not finding any increment in their status. The customer was generally of the opinion that if s(h)e purchases Tata Nano, no one will appreciate it. As a result, customers did not consider it and it failed.

11.2.5 Brand Feelings

Whatever reactions customers give to a brand are demonstrations of their brand feelings. The feelings can be negative or positive, and they can be acute or mild. Brands employ creative advertising these days to influence the consumers' opinions of the actual consumption of the brand. There are six types of brand feelings which contribute the highest in brand building -

a) Fun

Cheerful feelings are supposed to make consumers relaxed, entertained, happy, and lighthearted. For example – In the commercial of Hero Pleasure, Alia Bhatt, reiterates that why should all the fun had by boys only. By saying so, she hints at the fun a girl can also have with Pleasure rides which are easy, funny and cheerful always.

b) Coolness

The “cool” facet is generally associated with young and these are again young only who marketers look at to really understand about new trends. Brand coolness aspect has a substantial amount of informative power. Brands rejuvenate the customers during the actual consumptions, as well as through communications with customers, and it creates a sense of something specialness among consumers. Cool branding let the marketers earn new growth avenues of growth stances for themselves. For example – Facebook used to be considered a cool in the starting by users but because of various transformations it went through, it was no more being considered cool. Though, Instagram and WhatsApp are still considered cool by their users. To deal with the issue, Facebook started rebranding of Instagram and WhatsApp by adding ‘from Facebook’ in to their description to borrow some coolness of these two brands to Facebook.

c) Warmth

When brands provide soothing and peaceful feelings to the consumers, they feel affectionate and warmhearted about brands. For example – Vistara airlines provides a soothing experience to its flyers through the espousal of delicious and hygienic food, and caring and accommodating cabin crews.

d) Security

One of the main reasons of purchasing brands is security and safety. Consumers want to do away with psychological, social, financial, and time risk and any brand they are sure is going to assist them in doing that, they purchase that. For example - The great Khali in one of the commercials talk about his fearful experiences of living in a home and then how Ambuja cement helped him in getting over the fear by providing him solid structure to live in. Through this commercial Ambuja cement wants to portray that they do care about safety of consumers and they provide the cement on which consumers can rely.

e) Self-respect

Consumers buy brands to feel proud as brands really let them feel confident. For example – An HDFC Life – *Sir uthakejio* commercial wherein a lady tells her father that she will be able to fulfill her dream of running a cafe even when she has lost her husband. On this, when her father asks about finances, she simply tells him that her husband had arranged all in advance. By saying

so, she was referring to the HDFC insurance policy he had purchased well before his untimely demise. Through this commercial, HDFC Life conveys that investing in life insurance with HDFC will always let your beloved ones live their life with self respect and dignity as they will no more be required to ask someone for financial help.

f) Social Approval

Through consumption of brands, consumers try to showcase what they really are. In doing so, they also satiate their self-esteem need because whenever their peers and friends see them consuming well known brands they get appreciation from them. Opposite to it, if buyer does not go for well known brands, s(h)e does not get the appreciation which otherwise s(h)e would have received. For example – Think weddings, think Raymond commercial of Raymond is to push the notion that a marriage is always incomplete without Raymond because it for sure misses the social approval it deserves.

11.2.6 Brand Resonance

This is last building block of brand building wherein a customer is supposed to be in sync with the brand and s(h)e should in a strong relationship with the brand. The resonance can be divided in to two dimensions, one is the *intensity of bonding* that a buyer feels to have with the brand, while the other is the *magnitude of activities* s(h)e performs to showcase the loyalty s(h)e has with the brand. These two attributes can be further broken into four sub attributes-

a) Loyalty

Loyalty of customers to a brand is an invaluable asset. Not only it let the brands save a lot of money they otherwise would have spent on promotion of products/services, but it also let the brands put their energy on doing something productive. From the perspective of customer lifetime value, it is not so difficult to understand that how the loyal customers keep on financing the firm throughout their lives. For example – Customers of Apple are so loyal to the brand that they are even ready to sell their kidneys for iphones.

b) Attachment

Loyalty, as discussed in the last part, is not the only thing a firm can rely on. Loyalty to a brand may be due to compulsion as there is only one brand offering the product/service. Loyalty to a brand may also be due to non-availability of other brands on the outlets one can afford to visit for the purchases. Therefore, in order to maintain loyalty even when the other brands are available for purchase, one has to have firm personal attachment with a brand.

c) Community

Through brand communities, brands should also provide an environment to its present and future customers wherein they can feel camaraderie, relationship, and affiliation with other each other and also with the employees of the firms. For example – Royal Enfield, through its Facebook page is maintaining an online community wherein it discloses the information regarding the riding camps. It invites users to participate in these camps to create camaraderie among the users and employees of the firm. Once, a

camp is organized, pictures are shared on Facebook page to create a buzz regarding them. It not only motivates those who attended the event, it also motivates non-participants to join future riding camps.

d) Engagement

Lastly, the customers should engage and invest their time, money, energy and any other resource to increase their engagement with others stakeholders of the brands. For example – These days, firms are having ‘Official as well as unofficial groups, to actively engage their employees

Activity 3

Analyze brand feelings of Bajaj motorcycles after measuring them from your neighborhood through the following questions. -

- i) Does brand provide you warmth?
- ii) Does it appear to be a fun feeling for you?
- iii) Does it really excite you?
- iv) Does it make you feel secure?
- v) Does it provide you a notion of social approval?

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11.3 SUMMARY

This unit focuses on brand building blocks. By starting with an introduction to branding and rationale behind branding, it prepares base required for the whole unit. The discussion pertaining to brand building blocks wherein six brand building blocks are discussed in detail to provide in-depth information on what these blocks are and how they are related to one another. To provide a better learning experience in this regard, live examples from corporate scenario are discussed in detail.

11.4 SELF-ASSESSMENT QUESTIONS

- 1. Why branding is important for customers? What role does the registration of intellectual property rights, especially trademarks, play in branding?
- 2. Can we change the sequence in which brand building blocks are assembled ? Justify your answer with a suitable example.
- 3. Which of the six building blocks are most important? Justify your answer with suitable examples from industry.
- 4. How do you think the product category structure is relevant to the marketers in their branding decisions?

5. Prepare a product category structure for a product category of your choice and analyse the various brands, available in category.

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UNIT 12 BRAND ARCHITECTURE AND BRAND EXTENSION

Objectives

After reading this unit you should be able to:

- define brand architecture and its components;
- create a brand architecture strategy;
- build and rationalize a brand portfolio
- assemble a basic brand hierarchy
- understand the concept of brand extensions
- define the different type of brand extensions
- launch new brand extensions.

Structure

- 12.1 Introduction
- 12.2 Developing a Brand architecture strategy
- 12.3 Brand Architecture guidelines
- 12.4 Brand Portfolios
- 12.5 Rationalizing the Brand Portfolio
- 12.6 Brand Hierarchies
- 12.7 Levels of Brand Hierarchy
- 12.8 Brand Hierarchy Decisions
- 12.9 Corporate Branding
- 12.10 Brand Extensions
- 12.11 Types of Brand Extension
- 12.12 Advantages and Disadvantages of Brand Extension
- 12.13 Launching a Brand Extension
- 12.14 Summary
- 12.15 Self-Assessment Questions
- 12.16 References/Further Readings

12.1 INTRODUCTION

When you visit a store to buy a soft drink/water you see different bottles of Coca-Cola, Thums Up, Fanta, Sprite, Limca, Kinley, Minute Maid, Maaza. These brands look very different in terms of packaging, taste, benefit and price. But they do share a commonality. They all belong to Coca Cola India. In fact, Coca Cola has 13 brands in India and have 200 brands worldwide. This may lead to several questions in your mind. Why a company is launching several brands with different names? Why the price points are very different? Is it good for a firm to have so many brands? The unit will

try to address these issues and help in understanding the strategies used by various companies to reach larger consumer base by launching number of brands.

Competition is getting intense and consumer trends are evolving. Brand creates value for the company. A brand that doesn't evolve and adapt to the consumers requirement becomes redundant with time. Firms have many options regarding branding strategy. It helps in understanding the nature and various choices available to the managers about branding strategy. It helps in gaining clarity about the number of common and distinctive branding elements that can be used for their products and services. Managers need to analyze and track their brands and help in sustaining the brands.

12.2 DEVELOPING A BRAND ARCHITECTURE STRATEGY

Brand Architecture: It relates to the organizing the structure of the brand portfolio. It aids marketers in deciding which products and services to launch, as well as which brand names, logos, and symbols to use on new and existing items. Brand architecture strategy helps in defining the brand breadth and depth of the brand. The brand architecture plays two important roles:

- Brand Awareness: It improves the ability of the consumers to recognize the brand under different conditions.
- Brand Image: It relates to the perception of the consumer about the brand which are reflected by the brand associations held in consumers' mind. This improves the trial and repeat purchase intentions among the consumers

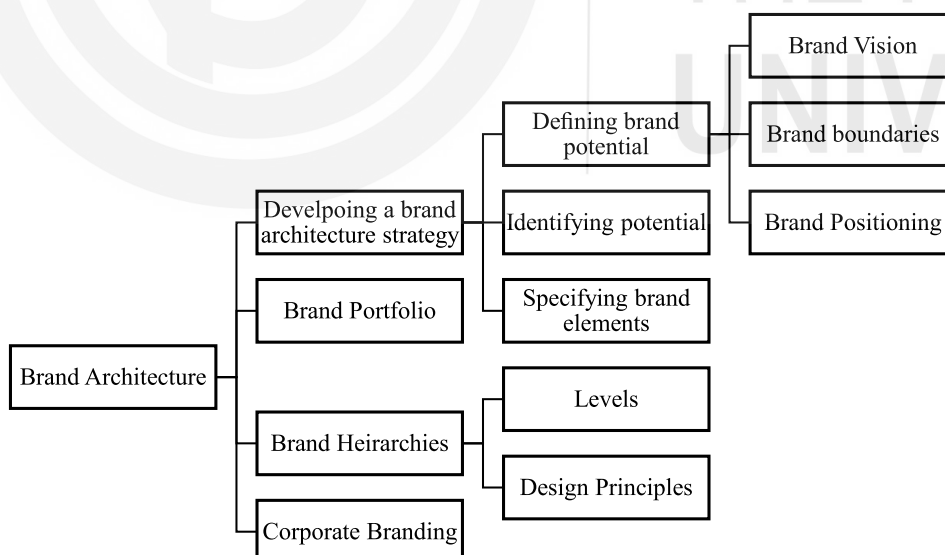


Fig 1: Brand Architecture Strategies and Decisions

Source: Keller, Kevin Lane, M. G. Parameswaran, and Isaac Jacob. Strategic brand management: Building, measuring, and managing brand equity. Pearson Education India

Developing brand architecture: It is complex and requires in depth understanding about the brand. It involves three key steps:

- i. **Defining Brand potential:** The management needs to articulate the **brand vision**. The management need to realize the long-term potential of the brand. The management need to **define the brand boundaries**. All brands have boundaries, thus, on the basis of brand vision and positioning the management needs to identify the products the brands wants to offer and the needs it wants to satisfy. For instance, Maruti has set its boundaries by offering automobiles. It would be very difficult for Maruti to introduce a clothing line or shoes. This the reason that Toyota (Japanese Carmaker) introduced its luxury car with a new brand named, Lexus. **Brand positioning** adds specificity to brand vision. It describes the emotional and functional benefits and the points of differences from that of the competitors.
- ii. **Identifying Brand Extension Opportunities:** Brand extension strategy is about using established brand names to launch new products. When a firm launches new products within existing categories it is called line extensions (Colgate Vedshakti toothpaste) and when a new product is introduced in a new category it is called category extensions (Colgate Vedshakti Mouth Protect Spray)
- iii. **Specifying Brand Elements for Branding New Products and Services:** This refers to the decisions pertaining to the specific brand elements that can be applied to any new product related with the brand. The new products must be branded in a way that gives consumers more clarity and understanding. Brands can think of employing either “branded house” or “house of brands.” Major brands like Apple, Citi are exemplary models of branded house. Their focus is on the single, popular brand. House of Brands on the other hand is home to numerous brands which are independent of each other. For instance, Unilever have Lux, Lifebouy, Dove, etc. as their brands in Soap category. Lux is positioned as a beauty soap and celebrities are used to promote the product. Lifebouy is positioned as a soap that protect from germs and families (Mother and Children) are portrayed in the ads. Dove is positioned as skin enrichment and moisturizing product with $\frac{1}{4}$ moisturizing cream in the soap. It is promoted through people of all body sizes, age and colour. Celebrities are not used, and they focus on self-esteem and self-image of women. The strategy allows Unilever to position their brand clearly on the basis of a unique value proposition and dominate specific segments. Thus, all the brands are independent of each other and target different set of consumers.

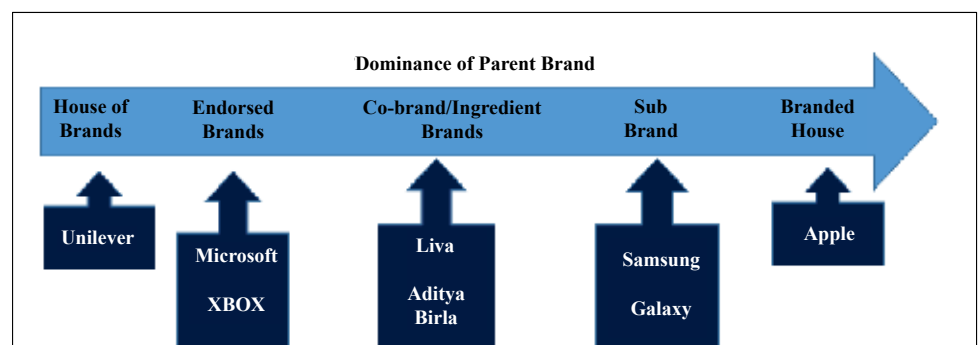


Fig 2: Brand strategies

Endorsed Brands: In this strategy the firm, launches many products and services as separate brand, however they are supported by the master brand or corporate brand. For instance, Xbox from Microsoft, Courtyard by Marriott. Endorsed brands are a good choice as it helps in targeting different audience and the endorsed brand can utilize the power of master brand. The presence of master brand also help in reducing promotional expenditures.

Co-brand/ Ingredient Brands: Co-branding, also known as brand bundling happens when two established brands come together to create an offering. The two brands can be from different firms or same firms. For example, Amazon and ICICI bank collaborate to offer Amazon Pay ICICI Bank Credit Card. Ingredient branding is a unique type of co-branding. This entails branding the components, materials, or parts that are used in or included by other branded items. Liva is fabric marketed by Aditya Birla Fashion. Liva is used by W, Peter Englands, etc. Similarly, on your laptops you may find a label Intel. They are the leading manufacturers of microprocessors.

Sub-brands: A sub-brand approach is giving a product or service a distinct name that can grow into its own brand over time. Each sub-brand has its own target market. Customers' expectations and personalities differ from those of the parent company. Sub-brands are essentially spin-off concepts that are indirectly related to your existing company but have their own identity, personality, and values so that they attract a new set of customers and revenue flow. Sub-brand as a strategy gives a freedom to the firms to expand and explore beyond their current portfolio. For example, the Samsung Galaxy sub-brand stands for on-the-go-tech products which include tablets, smartphones, watches etc.

12.3 BRAND ARCHITECTURE GUIDELINES

Building brand architecture is a complex activity. It takes a lot of effort and strategic planning to design architecture. It necessitates both marketing creativity and science. It is critical to establish the norms and principles that must be followed consistently. Concurrently, the firm needs to be flexible and creative enough to address the dynamic challenges of the markets. There are no unanimous rules as to which branding strategy will be best for the firm. There have been cases where within a firm also hybrid strategies have been used. For instance, Tata follows branded house strategy. But for the business in jewelry segment, they named it Tanishq which became a popular brand. Later, Tanishq launched an endorsed brand by the name of Mia by Tanishq. Mia was positioned as office wear jewelry with 14K and 16K gold purity. So, we can summarise that Tata has followed hybrid strategy keeping in view the meaning and relevance of the brand names and its relation and impact on the parent brand.

Hence, the marketers should follow the following guidelines to optimize brand architecture:

- ✓ Companies should focus on the customer. Determine and comprehend what customers know and expect from the brand. How they will behave if a change is done in the brand.
- ✓ Create strong umbrella brands. This help in maximizing the synergies.

- ✓ Avoid over branding and too many brands in your portfolio. It may result in dilution of brand equity.
- ✓ Be very careful while using sub-brands. Sub-brands can strengthen the parent brand by communicating relatedness and distinctiveness.
- ✓ Brand extension strategy should be selectively used. It may help in enhancing the brand equity.
- ✓ Acquired brands should gel with the current brand architecture of the firm. Inconsistent efforts to rebrand an acquisition could lead to negative consequences which may lead to reduced brand equity.

Activity 1

Name a “House of brands” and “Branded House”. List the names under their aegis and define their relationships.

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2.
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12.4 BRAND PORTFOLIOS

Brand Portfolios: It will include all brands that a firm offers in a product category. The goal of a successful brand portfolio is to maximize brand equity. The equity of other brands in a portfolio should not be harmed or cannibalized by the brand. A question may arise that what is the benefit of having multi brands? The answer is it enhances the reach of the firm to maximum consumer thus expanding the market coverage. It also induces trial among consumer who display variety seeking behavior thus avoids consumers to switch to competitors’ brand. For instance, P&G offers Ariel and Tide in detergent segment, enhancing the company’s consumer base, shelf space in retail thus, contributing to higher sales. Kotler and Keller (2006) suggested four specific roles of brands. They are:

- **Flankers:** Flankers are also known as fighter brand. The objective of flanker brands is to create stronger points of parity with competitors’ brands which aids in protecting the flagship brands or more profitable brand. Usually, low-cost product is launched as flanker brands as it helps in competing with stores brands as well private labels. This acts as protection for the higher priced brands from the firm. For instance, P&G repositioned Luvs diaper as affordable brand to serve as price fighter against competitors. This helped in protecting their premium brand Pampers. Similarly, Tata Agni acts as flanker brand in Portfolio of Tatas, protecting their premium range Tata Tea Premium. Surf Detergent in bid to compete with Nirma, launched the brand Wheel to serve the masses.
- **Cash Cows:** Cash cows are brands that are retained by the firms despite the declining sales. This can be because of the sufficient number of customers still buy the brand and the brand is profitable without any marketing efforts. Thus, the marketer’s strategy is to milk the brand by capitalizing the existing brand equity. For instance,

Gillette has launched technological advanced brand like Fusion and much of the sales are derived from it. However, it continues to sell its older brands Mach3, Vector.

- **Low-End/Entry level:** Many firms use line extensions in a certain product category that vary in price and quality. Launching of low-end and entry level products help attracting the customers towards its brand portfolio. These sub-brands leverage associations. For instance, Tata motors launched Nano as a low-end product and stretched their product line.
- **High End/ Prestige Brands:** Companies launch brand to reach the consumers at the top of social ladder. Relatively expensive and high-priced brand brings status and credibility to the company's portfolio. The price Parle on the other hand in a bid to position themselves as a company offering premium product launched Parle platina which offered sandwich cookies and chocolate filled rolls. Toyota also launched a premium car with a different brand name "Lexus" in order to create a luxury image in the mind of the consumers. Similarly, Maruti launched a prestige product by the name "Kizashi" but it failed miserably as it was priced very high at Rs. 17 Lakhs onwards and the consumer were not able to associate the parent brand Maruti with premium cars.

12.5 RATIONALIZING THE BRAND PORTFOLIO

Broadly there are two principles to design a brand portfolio. They are *maximise the market coverage and minimize brand overlap*. These principles help in addressing the demands of various types of products from the consumers and at the same time brands offered by a company should have a distinctive benefit, target audience and positioning in the market. However, at times it is necessary for the companies to decide about which brands to retain in their portfolio to avoid redundancy and maintain relevance. Sarkar and Singh (2005) suggested the following strategies to rationalize the brand portfolio:

- a) *Liquidation* means the company terminates the brand and utilizes its assets to discharge its liabilities.
- b) *Merging* with another brand can be done if the company feels that the brand is important for their portfolio
- c) *Selling* the brand is also an option. Tata sold their Lakme brand to HUL.
- d) *Milking* is done when the company focuses on deriving maximum sales and do not invest in R&D, promotions, etc.
- e) *Elimination* can be done when the company feels that the brand is obsolete and merging the brands is not possible. Maruti 800 was eliminated so that Maruti may focus on Wagon R, Alto etc.
- f) *Consolidation* is done when the brand is performing well, and the company attempts to build and expand it further.

Activity 2

List two brands each as examples for flanker brands and prestige brands and try to assess the positioning of the brand:

1.
2.
3.
4.

12.6 BRAND HIERARCHIES

A graphic representation of a company's branding strategy is known as a brand hierarchy. It's useful since it captures the potential branding ties between the company's numerous products and services. It shows the amount and nature of common and distinctive brand features across all the company's goods, revealing the explicit ordering of brand aspects. It clarifies that the firm has the ability to brand a product/service in a variety of ways, depending on the quantity of new and old brand elements it can employ and how they are incorporated into any given offering.

12.7 LEVELS OF BRAND HIERARCHY

Corporate/Company brand: On top of the brand hierarchy is the company or corporate brand. Company name or corporate names are interchangeably used as consumers may not necessarily distinguish between the two. Due to legal reasons, you will also find the name of the company on the product or package. Companies specifically in the domain of technology and engineering may focus more on their corporate name only such as L&T, Dell. Other companies may blend their corporate brand with family or individual brands. For instance, ITC is mentioned on the pack of Bingo chips. The focus is more on the sub-brand Bingo and Tedhe Medhe.



Family/Range brand: At the next level is Family brand/range brand. It is used in multiple product categories and is not necessarily the name of the company. Hence, it is also called as umbrella brand. For instance, Bingo is an umbrella brand for ITC which sells namkeens, potato chips, puffs, spindle shaped snack, triangle shaped snack. Applying family brand names is more useful when the product categories are of very different nature. It helps in relating specific set of associations across a group of related products. ITC

also has another family brand i.e. Classmate which sells notebooks, pencils, pens, art stationary, geometric boxes and scholastic products. Different family brands help in positioning of the brand.

Individual brand: An individual/product line brand is one that has been limited to essentially one product category, however it may be used for a variety of distinct product kinds within that category. Bingo, for example offers Tedhe Medhe, Mad Angles, No Rulz under the “finger snack” product category. Each brand enjoys a dominating position in its specialised product area within the broader finger snack product category. Sub-branding refines primary product brands.

Modifier level: A modifier is a way of identifying a certain item, model type, flavour, product version, or configuration. As a result, many Tedhe Medhe snacks are available in different flavors named as ***Tedhe Medhe Tomato Masti, Tedhe Medhe Pudhina Twist, Tedhe Medhe Masala Tadka, Tedhe Medhe Achaari Masti***

Product descriptor: The product descriptor is not considered a brand element in and of itself, rather it is used to describe a product. For a branded product, a product descriptor could be a key component of a branding strategy. The description of the item it aids people in understanding what the product is and what it does, as well as defining the necessary terms. It may be difficult to describe a new product with unexpected functionalities or even an old product that has undergone significant changes simply in some circumstances. For example, public libraries are used not only for borrowing books or taking your child for story time. It is a full-service facility. The modern public library is a hub for community educational, cultural, social, and recreational activities. Using a familiar product name to introduce a truly new product may help with basic familiarity and comprehension, but it may come at the expense of a deeper understanding of how the new product differs from similar products that already exist.

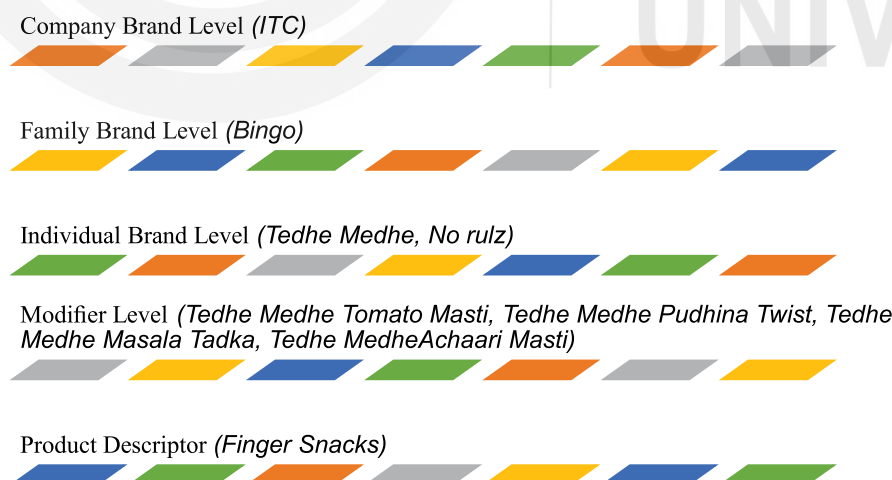


Figure 3: Levels of Brand Hierarchy of ITC

12.8 BRAND HIERARCHY DECISIONS

When designing a branding strategy, different levels of the hierarchy may be given varied weight. Think about it. GM has generally avoided using its corporate name in automotive branding, although the name has recently

become increasingly prominent in the company's supporting marketing efforts. Such adjustments in focus are an attempt by the company to capitalize on the good connections of different brands in various situations while minimizing the bad associations, and there are a variety of ways to place emphasis on the various parts that make up the brand. Following are key decisions that brand managers need to take while designing brand hierarchy:

- *Determine which items are to be introduced:* The firm may think for penetrating, expansion of product development in a market. The firm should focus on the growth opportunities according to the return-on-investment opportunities. The master brand's brand equity should be enhanced as a result of the brand expansion.
- *Determine the number of levels:* The firm should employ few levels as it helps in simplifying the organization of brands. There should be clear logic and understanding of all the elements of brand.
- *Determine the levels of awareness and the types of associations that will be made at each level:* To remain relevant, the firm should create abstract associations and points of differences across the individual products and brands.
- *Determine how to connect brands from various levels for a product:* The relative importance of brand elements influences product distance perceptions and the image type formed for new items.
- *Determine how to connect a brand across products:* The firm should attempt to find the common elements which the products share, this will help in maintaining strong linkages and make branding robust.

Activity 3

In the below mentioned image, identify the different levels of brand hierarchy.



1.

2.
3.
4.
5.

12.9 CORPORATE BRANDING

A corporate brand is different from a product brand. It is a larger concept and can have wide range of associations. Corporate Branding utilizes the brand name of the company in various promotions and communication to the stakeholders. A successful corporate branding showcases the company's mission, values and objectives. It is the intangible asset and provides a distinguishing identity in the industry and in the minds of consumers. For corporate branding the messages are designed with general content. The communications should capture the spirit and essence of the brand. Product branding on the other is narrow and try to distinguish the brand from those of the competitors. For instance, SBI while engaging in corporate branding focuses on the quality and customer orientation on the other hand in product branding the message is narrower and revolves around the benefits of the products i.e. low interest rates on home loans.

Corporate Branding



Product Branding



Corporate branding can be powerful tool to create corporate image dimensions. Corporate may communicate about the *quality* and *innovativeness* as their main philosophy. This will help in evoking positive perception about the brand. The company should also portray themselves as a company which value people and relationships. They should focus on being *customer orientated*. Retail stores, banks, hotels etc. derive their brand equity from their employees. The consumer should have faith that their grievances would be heard and addressed. Corporate should invest in expressing their social, economic, and environmental philosophy and vision to customers, employees, and others. A *socially responsible* and *environment concerned* company is preferred by all. The corporate may also communicate certain abstract but valuable associations such as *expertise*, *trustworthiness* and *likability* to the consumers. This enhances the credibility of the company.

12.10 BRAND EXTENSIONS

Brand extension is a marketing approach in which new items are introduced in the market under the umbrella of an established brand. Brand extensions, according to Aaker and Keller (1990), are new items launched under an existing brand name or a new entrant in a different category than the parent brand. Brand extension success is not certain. Nielsen (1999) found that FMCG products have higher rate of failure which is around 80%. The brand elements of the extended products help the managers in reducing the chances of failure. These elements aid in assessing consumers' attitudes toward the extended brand and comprehending their choices.

12.11 TYPES OF BRAND EXTENSION

Line Extensions: Line extensions are new products introduced under an existing brand or parent brand in the same product category. A line extension may add a different flavor, ingredient, shape, size or form. An example is Colgate toothpaste. It is available in different variants like strong teeth, sensitive plus, maxfresh, visible white, herbal, total, active salt, charcoal clean. Line extensions can be a useful strategy to address the diversified demands of the consumers. More variety offered by the brands help in retaining a larger set of consumers. Due to competitive reasons also, extending product lines is a wise approach. It helps in capturing a higher shelf space in the retail stores. As consumers have different paying capacity, the firms launches variety of products in different sizes. For instance, in order to penetrate the rural markets HUL launched Rs.1 or 2 sachets of Clinic Plus, Dove and Sunsilk. According to Pitta and Katsanis (1995) line extensions can further be classified into two:

- 1) **Horizontal line extensions:** When an established brand name is applied to launch a new product in the same product class. For example, Horlicks used the established brand name of Horlicks to launch Horlicks Lite which offered the product in No added sugar version. It promoted healthy lifestyle of Active Adults.



2) **Vertical line extensions:** When an established brand name is employed to “launch a related brand in the same product category but with different price quality” it is called vertical line extensions. The automobile sector has very successfully used this strategy to expand their brand portfolio. Vertical extensions can further be divided into two:

- ✓ **Upscale Extensions:** When the brand introduces a product with better quality and higher price, it leads to upscale extensions. For instance, Tata motors launched Tata Harrier at a price of Rs. 15 Lakh onwards which helped to stretch their portfolio upwards.
- ✓ **Downscale Extensions:** When the brand introduces a product at a lower price with lower quality. This gives the consumers an opportunity to try the product/brand. This leads to increased market share. Tata Tiago is an example of downscale extensions.

Category Extensions: Category extension refers to when a company uses an existing brand name to launch a new product in a different category. Tauber (1988) mentioned that category extensions helps in “leveraging an established brand name into categories new to that brand and called it brand franchise extension.” Reliance is an example of category extensions. They have extended their brand into petrochemicals, retail, textile, telecom and solar power etc.

Category extension is a useful to leverage the brand equity that has been created over time. As the brand is already established, it becomes easy to launch new products by capitalizing the advertising efficiencies. For instance, Dettol has a very strong positioning of “germ protection”. It started its journey in 1993 as antiseptic liquid. It has successfully utilized their brand name over the years to enter in multiple categories such as toilet soaps, liquid hand wash, liquid body wash, liquid sanitisers, kitchen dish and slab gel, sanitizer wet wipes. Similarly, Parle is an established leader in the biscuits. It has leveraged the same brand name to enter in segments like snacks, rusk, cakes, atta and during the pandemic it also launched hand sanitizers.

Biscuits	Confectionery	Snacks	Platina Range	Hand Sanitizer
Parle-G Gluco	2 in 1 Eclairs	Fullfloss	Hide & Seek	Parle Suraksha
Parle-G	Kaccha Mango Bite	Parle's Wafers	Milano	
20-20 Cookies	Cafechino	Chatkeens	Nutricrunch	Atta
KrackJack	Londonderry		Hide & Seek Fills	Atta
Monaco	Kismi			
Magix Creme	Orange Bite			
Fab! Range	Melody			
Parle Marie	Mango Bite			
Milano	Poppins			
Milk Shakti	Roll-a-Cola			
Hide & Seek	Zing			
Nutricrunch	Mazelo Fruit Gang			
Fab!o	Mazelo			
Happy Happy				
Parle Coconut Biscuits				
Parle Top				

Source: <https://www.parleproducts.com/brands.aspx?mpgid=3&pgidtrail=3>, accessed on April 07, 2022

Activity 4:

In the image shown below, identify line extension and brand extension



-
-

12.12 ADVANTAGES AND DISADVANTAGES OF BRAND EXTENSION

Most of the companies face dilemma while extending a brand. The apprehension is also about when, where and how to extend the brand. Brand extension is a strategic tool to increase the length and breadth of the parent brand however, brand extensions can have both advantages and disadvantages.

The benefits of brand expansions are listed in the following section:

- i. It increases the brand image of the parent brand. The new launched brand may attract the non-users and thus may also help in increasing the market share.
- ii. It reinforces the key associations attached with the parent brand. For example, Dettol is known for germ protection so their entry from antiseptic liquid to a antiseptic soap was a successful one and reinforced the benefit of germ protection.
- iii. It increases the rate of trail and helps in gaining more shelf space in the retail stores. The reputation of the parent brand is also capitalized to help convince the retailers to stock and promote the product.
- iv. It helps in optimizing the promotional expenditures. When a new brand is launched by the company, it can focus on communicating about the brand extensions only as the consumers are already aware about the parent brand. Thus, increasing the advertising efficiencies
- v. It helps in defending the brand. Extensions provide brands at various price, varieties etc. thus, the consumers have options to choose from instead of switching to the competitor's brand.
- vi. It helps in revitalizing the brand. To maintain the relevancy of the brand, the company opts to extend the line and launch products in the same product category.
- vii. Diversified brand helps in gaining superior profits. Many brands starts as mono-products and over time launches diversified brand that helps the brands cater to different set of consumers. Thus, generating huge returns.

Following are the disadvantages of brand extensions:

- i. Different extensions may cause consumers to become confused as to which version is best for them. Studies have pointed that more product variety may attract the consumers to buy less. Consumers may reject new extensions and prefer purchasing their tried products.
- ii. If the extension chosen is not the right “fit” then there are high chances of failure. For instance Colgate is now synonymous to toothpaste. Consumer associate Colgate to oral hygiene. However, when Colgate marketed ready-made frozen meals by name “Colgate Kitchen Entrees”, it failed miserably. The reason was the consumers find it difficult to fit this extension into the perception of related to the brand Colgate.



- iii. Overexpansion through brand extensions can lead to dilution of brand meaning. Brands like Gucci suffered when their product line had 22,000 items which was later reduced to 7,000 to focus on high-end prestige items only.
- iv. Line extensions are about adding variants in same product category. This results in competition among the same brand's extensions. However, this may lead to cannibalization of the parent brand and may result in loss in sales.
- v. Extensions may also lead to diminishing identification with any one category. When the brand is into number of categories offering both related and unrelated products, it results in lack of identification. Tata, Reliance, Adani, adopts corporate branding, have confronted this issue.
- vi. Brand extensions encourage the brands to launch new product under the same brand name which results in foregoing the opportunity to create and launch new brands. For example Everest launched Heena powder under the same brand name "Everest". It could have launched its Heena under a separate brand name for "beauty products".

12.13 LAUNCHING A BRAND EXTENSION

Based on Tauber (1981), Aaker (1990) and Aaker (1991), brand extension is a six-step process:

Step 1: Company identifies the brand that need to be extended. Companies need to evaluate the strengths of the brand and choose which brands needs to be extended. For instance, Parle has KrackJack, Milano, Monaco etc. It can decide whether to extend KrackJack, Milano or Monaco or launch new biscuit brand.

Step 2: The Company needs to identify key associations of the brand. Brand should select those associations which provide a competitive leverage by providing a link with other categories. For example, for Parle the key association is quality and affordable biscuits.

Step 3: The next stage is to highlight alternative definitions of business on the basis of each key associations. This also involves the idea generation for possible related categories. For Parle it will be biscuits, confectionaries, rusk, and snacks.

Step 4: This involves identification of products related to each category. Thus, for biscuits it would be rolled biscuits, drop biscuits, wafer biscuits, digestive biscuits, cookies, sandwich biscuits, tea biscuits etc.

Step 5: In this stage, the company selects the "candidate products" out of different products identified. Let us assume, Parle decides to launch wafer biscuits. For a successful launch, point of advantages and the "fit" in the portfolio will be considered.

Step 6: The extended brand will be launched at the final stage. Companies can lessen the risk of brand extensions failing by not overly associating the brand name with the new product. The company should create a balance in endorsing the brand and maintaining distance from the brand.

12.14 SUMMARY

Brand help in sustaining and differentiating the company's offering to the consumers. One of the key aspects of managing brand is to adopt a suitable brand strategy. Brand names helps the firms to communicate about the brand elements. The brand architecture strategy aids in determining the strategy to launch the various brands and enhance the brand portfolio. Firms offer multiple brands in a category or multiple products in different categories to expand their market share. This unit highlights how to manage different brands and what strategies the firm can use to extend their brand. Managers should try to make the brand relevant and can use various tools to rationalize the brand portfolio.

Various strategies that can be used to extend the brands have been discussed. The advantages and disadvantages of the extending a brand gives an insight about how brand extension can be beneficial on the other hand too much extension or launching a "misfit" may be harmful for the brand

12.15 SELF-ASSESSMENT QUESTIONS

1. Pick any corporate brand and examine their websites. Explain why their corporate brand image is so strong.
2. Elaborate the brand architecture of Patanjali.
3. Select a company. Describe its brand portfolio and hierarchy. What changes would you make to the company's branding strategy?
4. Analyse the brand extension strategy of Tata.
5. With the help of suitable example discuss two line extension. Discuss the advantages of these line extensions

12.16 REFERENCES/FURTHER READINGS

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